

Part One: General Provisions

Preliminary Chapter

Article One: Definitions

The following words and phrases, wherever they appear in this Law, shall have the meanings indicated opposite each of them, unless the context requires otherwise:

The Kingdom: The Kingdom of Saudi Arabia. **The Law:** The Companies Law. **The Regulations:** The regulations issued in implementation of the provisions of the Law. **The Ministry:** The Ministry of Commerce. **The Minister:** The Minister of Commerce. **The Authority:** The Capital Market Authority. **The Competent Authority:** The Ministry, except for joint stock companies listed on the financial market, in which case it shall be the Authority. **Relatives:** a. Fathers, mothers, grandfathers, and grandmothers, however ascendant. b. Children and their children, however descendant. c. Spouses. **Day:** A calendar day, whether a business day or not.

2. Without prejudice to the provisions of the Law, the Regulations shall include definitions for other words and phrases contained in the Law.

Article Two: Definition of a Company

A company is a legal entity established in accordance with the provisions of the Law, based on articles of incorporation or bylaws, under which two or more persons undertake to each contribute to a profit-seeking enterprise by providing a contribution of capital, work, or both, to share in the profit or loss arising from this enterprise. As an exception, a company may, in accordance with the provisions of the Law, be established by the unilateral will of a single person. Non-profit companies may be established in accordance with the provisions of Part Seven of the Law.

Article Three: Nationality of the Company

A company established in accordance with the provisions of the Law shall be of Saudi nationality, and its head office must be in the Kingdom.

Chapter One: Company Formation

Article Four: Forms of Companies

A company established in accordance with the provisions of the Law shall take one of the following forms: a. General Partnership Company. b. Limited Partnership Company. c. Joint Stock Company. d. Simplified Joint Stock Company. e. Limited Liability Company.

Article Five: Company Name

1. Every company shall have a commercial name in Arabic or another language. The name may be derived from its purpose, be a distinctive name, or the name of one or more of its current or former partners or shareholders, or a combination thereof, provided that it does not violate the Commercial Names Law and other applicable laws and regulations in the Kingdom.
2. The consent of the partner or shareholder, or their heirs if they have died without giving consent, must be obtained in the case where the commercial name includes any of the names of former partners or shareholders of the company.
3. The commercial name must be followed by what indicates the company's form.
4. The commercial name of the company may be amended in accordance with the procedures prescribed for amending the company's articles of incorporation or bylaws. The amendment shall not affect the company's rights or obligations or the legal proceedings it has taken or that have been taken against it before the amendment.

Article Six: Application for Company Formation

1. A founder is anyone who has actually participated in the formation of the company and contributed to its capital with a cash or in-kind contribution.
2. The founders shall submit an application for the formation and registration of the company to the Commercial Register, accompanied by the articles of incorporation or bylaws and the necessary data and documents according to the company's form.
3. The Commercial Register shall decide on the application that has fulfilled the necessary data and documents in accordance with the provisions of the Law.
4. In the event of rejection of the application, it must be reasoned, and the founders have the right to appeal to the Ministry within sixty (60) days from the date they are notified of the rejection.
5. In the event of rejection of the appeal or if it is not decided upon within thirty (30) days from the date of its submission, the founders have the right to appeal to the competent judicial authority.

Article Seven: Company Formation Documents

1. Every company established in accordance with the provisions of the Law shall have articles of incorporation, except for a joint stock company, a simplified joint stock

company, and a limited liability company owned by a single person, each of which shall have bylaws.

2. The company's articles of incorporation or bylaws must include the provisions, conditions, and data required by the Law and as appropriate for the company's form.
3. The company's articles of incorporation or bylaws must be in Arabic, and may be accompanied by a translation into another language.
4. The Ministry shall prepare guiding templates for companies' articles of incorporation and bylaws, as appropriate for the company's form.

Article Eight: Registration of Company Formation Documents

1. The company's articles of incorporation or bylaws, and any amendment thereto, must be in writing; otherwise, the articles, bylaws, or amendment shall be void. The formation of the company or the amendment of its articles of incorporation or bylaws shall take place after fulfilling the necessary requirements as stipulated by the Law and the Regulations.
2. The founders, partners, company managers, or members of its board of directors, as the case may be, must register the company's articles of incorporation or bylaws and any amendment thereto with the Commercial Register. The Commercial Register shall publicize the necessary data or documents in accordance with the provisions of the Law and the Regulations. Any of these individuals who causes the failure to register the documents with the Commercial Register shall be jointly liable for compensating for the damage that befalls the company, partners, shareholders, or third parties as a result of the non-registration.
3. Third parties shall have access to the data and documents stipulated in paragraph (2) of this Article. The data and documents extracted from the Commercial Register shall be considered evidence against the company and third parties.
4. The company's articles of incorporation or bylaws or any amendment thereto may not be invoked against a third party until after registration with the Commercial Register. If one or more pieces of information are not registered, they alone shall be unenforceable against a third party.

Article Nine: Acquisition of Legal Personality

1. The company acquires legal personality after its registration with the Commercial Register. However, during the formation period, the company shall have a legal personality to the extent necessary for its formation, provided that the formation process is completed.
2. Upon the company's registration with the Commercial Register, all contracts and actions carried out by the founders on its behalf shall be transferred to its liability, and the company shall bear all expenses they incurred in the course of forming the company.
3. If the company's formation procedures are not completed as set out in the Law, the persons who dealt or acted in the name of the company or on its behalf shall be personally and jointly liable with all their assets towards third parties for the acts and dispositions they made during the formation period.

Article Ten: Company Purposes

The company shall carry out its purposes after its registration with the Commercial Register and obtaining the necessary licenses for that from the concerned authorities, if any.

Article Eleven: Partners' Agreement and Family Charter

1. The founders, partners, or shareholders may, whether during the company's formation period or thereafter, do the following: a. Conclude one or more agreements that regulate the relationship among themselves or with the company, including how their heirs enter the company, whether in person or through a company they establish for this purpose. b. Conclude a family charter that includes the regulation of family ownership in the company, its governance, management, work policy, policy for employing family members, distribution of profits, disposal of contributions or shares, a mechanism for settling disputes or disagreements, and other matters.
2. The agreement or family charter shall be binding, and may be part of the company's articles of incorporation or bylaws. It is required that it does not violate the Law or the company's articles of incorporation or bylaws.

Article Twelve: Information to be Included in Company Documents

The following information must be placed on the contracts, receipts, and other documents issued by the company: a. The company's name, form, head office address, email address - if any - and its registration number with the Commercial Register. b. The company's capital and the amount paid up thereof. This excludes general partnership companies and limited partnership companies. c. The phrase "under liquidation" added to the company's name during the liquidation period.

Article Thirteen: Partner's or Shareholder's Contribution

1. A partner's or shareholder's contribution may be in cash or in-kind, or both.
2. With the exception of joint stock companies and simplified joint stock companies, a partner's contribution may be work in exchange for a percentage of the profits, the amount of which is specified in the company's articles of incorporation. Their contribution may not be their reputation or influence.
3. Cash contributions and in-kind contributions alone shall constitute the company's capital.
4. The founders, partners, or shareholders may offer contributions or shares in the company's capital to a person in exchange for performing work or services that benefit the company and achieve its objectives, without prejudice to the provisions of the Law.

Article Fourteen: Making the Contribution

1. If a partner's or shareholder's contribution is a right of ownership, a usufruct right, or any other real right, they shall be liable, in accordance with the provisions of a sales contract, for guaranteeing the contribution in case of destruction and for guaranteeing against dispossession, claims of ownership, or the appearance of a defect or deficiency in the

contribution. If their contribution is merely the use of a personal right over the asset, the provisions of a lease contract shall apply, unless otherwise agreed.

2. If a partner's contribution is work, they must perform the work they have undertaken, and any gain resulting from this work shall be the right of the company. They may not practice this work for their own account. However, they are not obliged to provide the company with the intellectual property rights they have obtained resulting from this work, unless it is so agreed.

Article Fifteen: Delay in Making the Contribution

1. Every partner is a debtor to the company for the contribution they have undertaken to make.
2. If a partner delays in making their contribution to the company's capital by the specified deadline, the company may demand that they fulfill what they have undertaken towards it, or suspend the enforcement of the rights attached to their contributions, such as the right to receive profits or the right to vote in the general assembly or on partners' resolutions, while the company retains in all cases the right to claim compensation for the damage resulting therefrom.

Chapter Two: Company Finances

Article Sixteen: Company's Financial Year

The company's financial year shall be twelve (12) months, specified in its articles of incorporation or bylaws. However, the first financial year may be set at no less than six (6) months and no more than eighteen (18) months, starting from the date of the company's registration with the Commercial Register.

Article Seventeen: Accounting Records and Financial Statements

1. The company must maintain accounting records and their supporting documents to clarify its business, contracts, and financial statements at the company's head office or at any other place determined by the company's manager or board of directors.
2. Financial statements for the company must be prepared at the end of each financial year in accordance with the accounting standards approved in the Kingdom, and these statements must be deposited as specified by the Regulations within six (6) months from the end of the financial year, in accordance with the provisions of the Law.
3. If the preparation of interim or annual financial statements requires a controlling company or a company that owns contributions or shares in the capital of another company to obtain information from the controlled company or the company in whose capital contributions or shares are owned, the latter must provide this information to the extent that enables the controlling or owning company to prepare its financial statements in accordance with the accounting standards approved in the Kingdom.
4. The Authority may set controls for the provision of the information referred to in paragraph (3) of this Article by joint stock companies listed on the financial market.

Article Eighteen: Appointment, Removal, and Resignation of the Company's Auditor

1. The company shall have one or more auditors licensed in the Kingdom, appointed by the partners, the general assembly, or the shareholders, as the case may be, who shall determine their fees, term of work, and scope. They may be reappointed. The Regulations shall specify the maximum term for an individual auditor or firm and the partner supervising the audit.
2. The partners, the general assembly, or the shareholders, as the case may be, may remove the auditor, without prejudice to their right to compensation for any damage they may suffer if there are grounds for it. The manager or the chairman of the board of directors must inform the Competent Authority of the removal decision and its reasons within a period not exceeding five (5) days from the date the decision is issued.
3. The auditor may resign from their mission by means of a written notice submitted to the company. Their mission ends on the date of submission or on a later date specified in the notice, without prejudice to the company's right to compensation for any damage it may suffer if there are grounds for it. The resigning auditor is obliged to submit to the company and the Competent Authority, upon submitting the notice, a statement of the reasons for their resignation. The company's manager or board of directors must invite the partners or shareholders to a meeting or the general assembly to convene, as the case may be, to consider the reasons for the resignation and appoint another auditor.

Article Nineteen: Non-Applicability of the Auditor Appointment Requirement

1. The provision regarding the mandatory appointment of an auditor contained in Article Eighteen of the Law shall not apply to a micro or small company, with the exception of the following micro and small companies: a. Those whose articles of incorporation or bylaws stipulate it. b. Those listed on the financial market. c. Those that issue tradable debt instruments or financing sukuk, or preferred or redeemable shares. d. Those for which the appointment of an auditor is required in accordance with relevant laws. e. Foreign companies. f. Those that own another company or are a subsidiary of another company, unless the description of a micro or small company applies to all such companies. For the purposes of applying this paragraph, the Regulations shall specify the criteria based on which a company is described as a micro or small company.
2. For the provision in paragraph (1) of this Article to apply, the company must meet the description of a micro or small company during its first financial year of registration with the Commercial Register, or during two consecutive financial years.
3. A partner, shareholder, or more in a company to which the provision of paragraph (1) of this Article applies, who represent at least ten percent (10%) of its contributions or shares with voting rights, may request in writing that the company appoint an auditor in accordance with the controls specified by the Regulations.
4. The provision regarding the mandatory appointment of an auditor contained in Article Eighteen of the Law shall not apply to a general partnership company except in one of the following cases: a. If all its partners are legal persons taking any form of company other than a general partnership company. b. If all its partners are legal persons taking

the form of a general partnership company and their partners are legal persons taking any form of company other than a general partnership company. c. If the company's articles of incorporation provide for their appointment.

Article Twenty: Obligations of the Company's Auditor

1. The company's auditor must be independent in accordance with the professional standards approved in the Kingdom.
2. The work of an auditor may not be combined with participation in the formation of the company whose accounts they audit, its management, or membership on its board of directors. The auditor may not be a partner of any of the company's founders, managers, or board members, or an employee thereof, or a relative of theirs. They may not buy or sell contributions or shares in the company whose accounts they audit during the audit period.
3. The company's auditor may not perform any technical, administrative, or advisory work for the company whose accounts they audit or for its benefit, except as specified by the Regulations.
4. The auditor has the right, at any time, to access the company's documents, accounting records, and their supporting documents, and may request the data and clarifications they deem necessary to verify the company's assets and liabilities, and other matters within the scope of their work. The company's manager or board of directors must enable them to perform their duty. If the auditor encounters difficulty in this regard, they shall record this in a report submitted to the manager or the board of directors. If the manager or the board of directors does not facilitate the auditor's work, the auditor must request them to invite the partners or shareholders to a meeting or the general assembly to convene, as the case may be, to consider the matter. The auditor may issue this invitation if the manager or the board of directors does not issue it within thirty (30) days from the date of the auditor's request.
5. The auditor must submit to the partners or the general assembly at its annual meeting, or to the shareholders, a report on the company's financial statements prepared in accordance with the auditing standards approved in the Kingdom, and include therein the position of the company's management in enabling them to obtain the data and clarifications they requested, any violations of the provisions of the Law or the company's articles of incorporation or bylaws that have come to their attention within the limits of their competence, and their opinion on the fairness of the company's financial statements. The auditor must read their report or present a summary of it at the general assembly meeting, or present the report by circulation, as the case may be, and in accordance with the provisions of the Law.
6. The auditor may not disclose to the partners or shareholders outside the general assembly, or to third parties, the company's secrets they have learned due to their work; otherwise, they may be held liable for compensation, in addition to the right to be removed.
7. The auditor shall be liable for the content of their report and for any damage that befalls the company, partners, shareholders, or third parties due to errors they commit in the performance of their work. If the company has more than one auditor, they shall be

jointly liable, except for those who prove they did not participate in the error giving rise to the liability.

Article Twenty-One: Supervision of the Company's Accounts

Partners and shareholders have the right to supervise the company's accounts in accordance with the provisions stipulated in the Law and the company's articles of incorporation or bylaws.

Article Twenty-Two: Distribution of Profits

1. Annual or interim profits from distributable profits may be distributed to the partners or shareholders in joint stock companies, simplified joint stock companies, and limited liability companies.
2. If profits are distributed to partners or shareholders in violation of the provision of paragraph (1) of this Article, the company's creditors may demand them from the company, and the company may demand from each partner or shareholder, even if in good faith, the return of what they received from it.
3. A partner or shareholder is not obliged to return the profits distributed to them in accordance with the provisions of paragraph (1) of this Article, even if the company incurs losses in subsequent periods.
4. The Regulations shall specify the necessary controls for implementing the provisions of this Article.

Article Twenty-Three: Sharing of Profits and Losses

1. All partners shall share in the profits and losses according to the proportion of each one's contribution to the capital. If it is agreed to deprive any of them of profit or to exempt them from loss, this agreement shall be deemed null and void. However, it may be agreed in the company's articles of incorporation to have different proportions for partners in profits and losses.
2. It may be agreed to exempt a partner who has contributed only their work from participating in the loss, provided that they have not been designated a wage for their work.

Article Twenty-Four: Share of a Partner Contributing Work in Profits and Losses

If a partner's contribution is limited to their work, and the company's articles of incorporation do not specify their share in the profit or loss, their share in them shall be similar to the contribution of the partner with the smallest share in the company's capital. If the partner, in addition to their work, provides a cash or in-kind contribution, they shall have a share in the profit or loss for their contribution of work and another share for their cash or in-kind contribution.

Article Twenty-Five: Transfer of Ownership of Contributions and Trading of Shares

1. Ownership of contributions in a general partnership company, a limited partnership company, and a limited liability company is transferred by registration with the Commercial Register. The transfer of ownership of a contribution shall not be effective against the company or third parties except from the date of this registration.
2. Shares of a joint stock company not listed on the financial market and a simplified joint stock company are traded by entry in the register of shareholders stipulated in Article One Hundred and Twelve of the Law. The transfer of ownership of a share shall not be effective against the company or third parties except from the date of this entry.
3. Shares of a joint stock company listed on the financial market are traded in accordance with the provisions of the Capital Market Law and its implementing regulations.

Chapter Three: Company Management

Article Twenty-Six: Duties of Care and Loyalty

The company's manager or a member of its board of directors must adhere to the duties of care and loyalty, and in particular, the following: a. Performing their duties within the limits of their prescribed powers. b. Acting in the interest of the company and promoting its success. c. Making decisions or voting on them independently. d. Exercising reasonable and expected care, attention, diligence, and skill. e. Avoiding situations of conflict of interest. f. Disclosing any direct or indirect interest they have in the businesses and contracts that are made for the company's account. g. Not accepting any benefit granted to them by a third party in relation to their role in the company. The Regulations shall specify the provisions related to this Article.

Article Twenty-Seven: Conflict of Interest, Competition, and Exploitation of Assets

1. The company's manager or a member of its board of directors may not have any direct or indirect interest in the businesses and contracts that are made for the company's account, except with a license from the partners, the general assembly, or the shareholders, or those they authorize.
2. The company's manager or a member of its board of directors may not participate in any business that would compete with the company or compete with the company in any of the branches of activity it engages in, except with a license from the partners, the general assembly, or the shareholders, or those they authorize.
3. The company's manager or a member of its board of directors may not exploit the company's assets, information, or investment opportunities presented to them in their capacity as a manager or a member of its board of directors, or presented to the company, to achieve a direct or indirect interest for themselves.
4. The Regulations shall specify the necessary controls for implementing the provisions of paragraphs (1), (2), and (3) of this Article.

5. The provision of paragraph (1) of this Article shall not apply to the following: a. Businesses and contracts that are made according to a public competition. b. Businesses and contracts that aim to meet personal needs if they are made under the same terms and conditions that the company follows with the general public of dealers and contractors and are within the company's usual activity. c. Any other businesses or contracts specified by the Regulations, provided they do not conflict with the company's interest.
6. The company has the right, in the event its manager or a member of its board of directors violates paragraph (1) of this Article, to demand before the competent judicial authority the annulment of the contract and to oblige them to pay any profit or benefit they have realized from it.
7. The company has the right, in the event its manager or a member of its board of directors violates paragraph (2) of this Article, to demand appropriate compensation before the competent judicial authority.

Article Twenty-Eight: Management Liability

1. The manager and the members of the board of directors shall be jointly liable for compensating the company, partners, shareholders, or third parties for the damage that arises due to a violation of the provisions of the Law, the company's articles of incorporation or bylaws, or due to errors, negligence, or default they commit in the performance of their duties. Any condition providing otherwise shall be deemed null and void.
2. The liability shall be either personal, affecting a manager or a member by themselves, or joint upon all managers or all members of the board of directors if the decision was issued by their unanimous agreement. If the decision was issued by a majority of votes, the dissenting managers or members shall not be held liable for the decision, provided they have explicitly recorded their objection in the minutes of the meeting. Absence from the meeting in which the decision is issued shall not be a reason for exemption from liability unless it is proven that the absent manager or member was unaware of the decision or was unable to object to it after becoming aware of it.
3. The company may provide insurance coverage for its manager or a member of its board of directors during their term of office or membership against any liability or claim arising from their capacity.

Article Twenty-Nine: Lawsuit by the Company, Partner, or Shareholder

1. The company may file a liability lawsuit against the manager or members of the board of directors due to a violation of the provisions of the Law, the company's articles of incorporation or bylaws, or due to errors, negligence, or default they commit in the performance of their duties, resulting in damages to the company. The partners, the general assembly, or the shareholders shall decide to file this lawsuit and appoint someone to represent the company in pursuing it. If the company is in the process of liquidation, the liquidator shall file the lawsuit. If any of the liquidation procedures are

initiated against the company in accordance with the Bankruptcy Law, this lawsuit shall be filed by its legal representative.

2. A partner, shareholder, or more representing five percent (5%) of the company's capital, unless the company's articles of incorporation or bylaws provide for a lower percentage, may file the liability lawsuit established for the company if the company fails to file it, provided that the primary objective of filing the lawsuit is to achieve the company's interests, that the lawsuit is based on a valid foundation, and that the plaintiff is acting in good faith and is a partner or shareholder in the company at the time of filing the lawsuit.
3. To file the lawsuit referred to in paragraph (2) of this Article, the company's manager or members of the board of directors, as the case may be, must be notified of the intention to file the lawsuit at least fourteen (14) days before the date of its filing.
4. A partner or shareholder may file their personal lawsuit against the manager or members of the board of directors if the error they committed caused them specific damage.

Article Thirty: Non-Admissibility of Lawsuit

1. The approval of the partners, the general assembly, or the shareholders, as the case may be, to discharge the manager or members of the board of directors from liability shall not prevent the filing of lawsuits in accordance with Article Twenty-Nine of the Law.
2. Except in cases of forgery and fraud, a liability lawsuit shall not be heard after the lapse of five (5) years from the end of the company's financial year in which the harmful act occurred or three (3) years from the end of the work of the manager or the membership of the member on the board of directors concerned, whichever is later.

Article Thirty-One: Business Judgment Rule

A company's manager or a member of its board of directors is deemed to have fulfilled their duty in a decision they made or voted on in good faith, if the following are met: a. If they had no interest in the subject of the decision. b. If they were informed and aware of the subject of the decision to an appropriate extent under the surrounding circumstances, according to their reasonable belief. c. If they firmly and rationally believed that the decision serves the company's interests. The burden of proving otherwise falls on the plaintiff. For the purposes of this Article, "decision" means an act or omission regarding a matter related to the company's business.

Article Thirty-Two: Expenses of Filing a Liability Lawsuit

The competent judicial authority may, at the request of the partner or shareholder, charge the company with the expenses they incurred to file the liability lawsuit, regardless of its outcome, if they filed the lawsuit in good faith and it was in the company's interest to file this lawsuit.

Article Thirty-Three: Enforcement against a Partner's or Shareholder's Profits

A personal creditor of a partner or shareholder may request from the competent judicial authority to receive their right from the debtor partner's or shareholder's share in the distributed

net profits. If the company is dissolved, the creditor's right transfers to their debtor's share in what remains of its assets after its debts are paid.

Article Thirty-Four: Enforcement against Contributions and Shares

Without prejudice to the provisions of the Law of Security over Movable Property and other relevant laws, a personal creditor of a partner or shareholder, in addition to the right referred to in Article Thirty-Three of the Law, may request from the competent judicial authority the following: a. The sale of the necessary contributions of that partner to receive their right from the proceeds of their sale. The remaining partners shall have the right to redeem those contributions in accordance with the provisions of the Law. b. The sale of the necessary shares of that shareholder to receive their right from the proceeds of their sale. The shareholders in a joint stock company not listed on the financial market and a simplified joint stock company shall have priority in purchasing those shares within fifteen (15) days from the date they are offered for sale, if the company's bylaws so provide.

Part Two: General Partnership Company

Chapter One: General Provisions

Article Thirty-Five: Definition of a General Partnership Company

A general partnership company is a company established by two or more natural or legal persons who are personally and jointly liable with all their assets for the company's debts and obligations. A partner therein acquires the status of a merchant.

Chapter Two: Formation of a General Partnership Company

Article Thirty-Six: Articles of Incorporation Information

The articles of incorporation of a general partnership company must specifically include the following information: a. The names of the partners and their details. b. The company's name. c. The company's head office. d. The company's purpose. e. The company's capital and its distribution among the partners, and a sufficient definition of the contribution that each partner has undertaken to provide and its due date. f. The company's duration, if any. g. The company's management. h. The partners' resolutions and the quorum required for their issuance. i. The method of distributing profits and losses among the partners. j. The start and end date of the financial year. k. The dissolution of the company. l. Any other provisions, conditions, or data that the partners agree to include in the company's articles of incorporation and that do not conflict with the provisions of the Law.

Chapter Three: Management of a General Partnership Company

Article Thirty-Seven: Management Powers

1. The management of a general partnership company shall be undertaken by its partners. A legal person shall specify its representative in the management. The partners may agree in the company's articles of incorporation or in a separate contract to appoint one or more managers from among themselves or from others.
2. If there are multiple managers, whether partners or not, without specifying the competence of each and without stipulating that any of them may not act individually in management, each of them may individually perform any act of management. The other managers have the right to object to any act before it becomes binding on a third party. In this case, the majority opinion of the managers shall prevail. If the opinions are tied, the matter must be presented to the partners to issue a resolution thereon in accordance with Article Thirty-Eight of the Law.
3. The manager or managers, if multiple, shall carry out all management acts that fall within the company's purpose, and represent it before the judiciary, arbitration bodies, and third parties, unless the company's articles of incorporation explicitly restrict their powers. In all cases, the company is bound by every act carried out by the manager in its name and within the limits of its purpose, unless the person dealing with them was acting in bad faith.

Article Thirty-Eight: Partners' Resolutions

Partners' resolutions shall be issued by a numerical majority, unless the resolution relates to amending the company's articles of incorporation, in which case it must be issued by the unanimous agreement of the partners, unless the articles of incorporation provide otherwise.

Article Thirty-Nine: Prohibited Acts for the Manager

A manager is prohibited from carrying out acts that exceed the company's purpose except by a resolution from the partners or by an explicit provision in the company's articles of incorporation. This prohibition applies in particular to the following acts: a. Establishing or closing company branches. b. Donations, except for small, customary donations. c. Guaranteeing third parties on behalf of the company. d. Settling the company's rights. e. Selling or mortgaging the company's real estate, unless the sale is part of the company's purpose. f. Selling or mortgaging the company's commercial establishment (store). g. Borrowing on behalf of the company.

Article Forty: Competing with the Company

A partner may not, without the consent of the other partners, engage for their own account or for the account of a third party in an activity of the same type as the company's activity, nor be a partner, manager, or member of the board of directors in a competing company, or own contributions or shares representing a significant percentage in another company engaged in the same activity. If a partner violates this, the company may request from the competent

judicial authority that the transactions they carried out for their own account be deemed to have been carried out for the company's account. The company may, in addition, claim compensation from them.

Article Forty-One: Powers of a Non-Managing Partner

A non-managing partner may not interfere in the company's management. They, or someone they authorize, may, twice during the financial year, review the progress of the company's business, examine its records and documents, extract a brief statement on the company's financial status from these records and documents, and offer opinions to the company's manager. Any agreement to the contrary shall be deemed null and void.

Article Forty-Two: Removal of the Manager

1. Unless the company's articles of incorporation provide otherwise, if the manager is a partner appointed in the company's articles of incorporation, they may not be removed except by a resolution issued by the unanimous agreement of the other partners. If they are appointed in a separate contract, they may be removed by a resolution issued by a numerical majority of the partners.
2. If the manager is not a partner, whether appointed in the company's articles of incorporation or in a separate contract, they may be removed by a resolution issued by a numerical majority of the partners.
3. A manager appointed in the company's articles of incorporation or in a separate contract, whether a partner or not, may be removed by a final judgment from the competent judicial authority.
4. The removal of the manager shall not result in the dissolution of the company, unless the company's articles of incorporation so provide.

Article Forty-Three: Resignation of the Manager

1. The company's manager, whether a partner or not, may resign from management, provided they notify the partners in writing of their resignation at least sixty (60) days before its effective date, unless the company's articles of incorporation or the separate contract of their appointment provide otherwise; otherwise, they shall be liable for compensating for the damages resulting from their resignation.
2. The resignation of the manager shall not result in the dissolution of the company, unless the company's articles of incorporation so provide.

Chapter Four: Contributions and Partners in a General Partnership Company

Article Forty-Four: Partners' Contributions and Their Assignment

1. Partners' contributions may not be represented by negotiable instruments.

2. A partner may not assign all or part of their contributions, except in compliance with the restrictions stipulated in the company's articles of incorporation or with the consent of the other partners. Any agreement to assign contributions without observing the restrictions or the partners' consent shall be void. This assignment must be registered and publicized with the Commercial Register.
3. A partner may assign to a third party the financial rights attached to their contribution in the company. This assignment shall have effect only between its parties.

Article Forty-Five: Admission, Withdrawal, Expulsion, or Assignment by a Partner

1. If a new partner joins the company with a new contribution, they shall be personally and jointly liable with all their assets, along with the other partners, for the company's debts preceding and subsequent to their admission. However, it may be agreed to exempt them from liability for the preceding debts by the unanimous agreement of the partners. This agreement shall be effective against creditors from the date of its registration and publicization with the Commercial Register.
2. If a partner withdraws from the company or is expelled from it, they shall not be liable for the debts that arise in its liability after the registration and publicization of their withdrawal or expulsion with the Commercial Register. They shall remain liable for the debts that arose before that, unless they are exempted by the consent of the other partners and the company's creditors.
3. If a partner assigns their contribution, the assignee shall be liable to the company's creditors for its debts preceding and subsequent to their admission. The assignor shall not be liable for the debts to the company's creditors unless they object to their exemption from liability within thirty (30) days from the date the company notifies them thereof. In case of objection, the assignor shall be jointly liable for the debts preceding their assignment.

Article Forty-Six: Withdrawal and Expulsion Procedures

1. Unless the company's articles of incorporation provide otherwise, a partner may withdraw from the company by their unilateral will, provided they notify the other partners thereof at least sixty (60) days before the date they have set for withdrawal.
2. It may be agreed in the company's articles of incorporation on procedures for expelling partners from it. If the articles do not include such provisions, a numerical majority of the partners may apply to the competent judicial authority to expel one or more partners from the company if there are legitimate reasons for doing so, and the company shall continue to exist among the remaining partners.
3. The withdrawing partner, or the remaining partners in the case of a partner's expulsion, must register and publicize this with the Commercial Register. The withdrawal or expulsion shall not be effective against third parties until after registration and publicization.
4. The competent judicial authority may, at the request of one or more partners, decide to dissolve the company if its continuation is not possible among the partners.

Article Forty-Seven: Partner's Share in Profits and Losses

1. Profits and losses and the share of each partner therein must be determined at the end of the company's financial year based on financial statements prepared in accordance with the accounting standards approved in the Kingdom. Each partner is considered a creditor of the company for their share in the profits as soon as this share is determined, unless the company's articles of incorporation provide for special provisions regarding profits and losses.
2. Any deficit in the company's capital due to losses shall be made up from the profits of subsequent years. Otherwise, a partner may not be obliged to make up for the deficit in their contribution to the capital due to losses except with their consent.

Article Forty-Eight: Enforcement against a Partner's Assets

1. A partner may not be required to pay a company debt from their own assets until this debt is established in the company's liability based on a final judicial ruling or an enforceable instrument, and after the company has been notified to pay and it has been impossible to collect the right from it.
2. A partner, upon paying a company debt, has recourse against the other partners for the proportion they paid for each of their contributions.

Article Forty-Nine: Valuation of a Partner's Contribution

1. Unless the value of the contributions is agreed upon or the company's articles of incorporation provide for a method of their valuation, the value of a partner's contribution in the company shall be valued if they withdraw or are expelled, or in the event of the initiation of any of the liquidation procedures against them in accordance with the Bankruptcy Law, or their death and the heirs do not join the company, according to a report prepared by one or more accredited valuers, showing the fair value of each partner's share in the company's assets on the date the event occurred. The partner or their heirs shall have no share in what arises thereafter except to the extent that these rights result from operations preceding that event.
2. Unless the company's articles of incorporation provide for a method of valuing a partner's contribution if they assign it, their contribution shall be valued according to the value agreed upon with the assignee.

Chapter Five: Dissolution of a General Partnership Company

Article Fifty: Cases of Dissolution

1. A general partnership company is not dissolved by the death of any of the partners, nor by their being placed under guardianship, nor by the initiation of any of the liquidation procedures against them in accordance with the Bankruptcy Law, nor by their expulsion, nor by their withdrawal, unless the company's articles of incorporation so provide. In this case, the company continues among the remaining partners, and this partner or their

heirs shall only have their share in the company's assets, and this share shall be valued in accordance with Article Forty-Nine of the Law.

2. It may be stipulated in the company's articles of incorporation that in the event of the death of any of the partners, the company shall continue with those of the deceased's heirs who wish to do so, even if they are minors or legally prohibited from engaging in commercial activities. The minor heirs of the partner or those legally prohibited from engaging in commercial activities shall not be liable for the company's debts in the event of its continuation except to the extent of each one's share in their legator's contribution to the company's capital. In this case, the company must be converted within a period not exceeding one year from the date of their legator's death into a limited partnership company in which the minor or the person legally prohibited from engaging in commercial activities becomes a limited partner; otherwise, the company shall be dissolved by force of law upon the expiry of that period, unless the minor reaches the age of majority during this period or the reason for the prohibition from engaging in commercial activities ceases to exist and that minor or person prohibited from engaging in commercial activities wishes to be a general partner.
3. If only one partner remains in the company upon the death of any of the partners, or their being placed under guardianship, or the initiation of any of the liquidation procedures against them in accordance with the Bankruptcy Law, or their withdrawal, or their expulsion, this partner shall be granted a grace period of ninety (90) days to rectify the company's status, either by admitting another partner or by converting it into another form of company provided for in the Law; otherwise, the company shall be dissolved by force of law upon the expiry of that grace period.

Part Three: Limited Partnership Company

Chapter One: General Provisions

Article Fifty-One: Definition of a Limited Partnership Company

1. A limited partnership company is a company composed of two groups of partners: one group comprising at least one natural or legal person who is personally and jointly liable with all their assets for the company's debts and obligations, and another group comprising at least one natural or legal person, a limited partner, who is not liable for the company's debts and obligations except to the extent of their contribution to the company's capital. A limited partner does not acquire the status of a merchant.
2. The general partners in a limited partnership company are subject to the provisions applicable to partners in a general partnership company.
3. The provisions of a general partnership company shall apply to a limited partnership company in matters for which no special provision is made in this Part.

Chapter Two: Formation of a Limited Partnership Company

Article Fifty-Two: Articles of Incorporation Information

The articles of incorporation of a limited partnership company must specifically include the following information: a. The names of the partners and their details. b. The company's name. c. The company's head office. d. The company's purpose. e. The company's capital and its distribution among the partners, and a sufficient definition of the contribution that each partner has undertaken to provide and its due date. f. The company's duration, if any. g. The company's management. h. The partners' resolutions and the quorum required for their issuance. i. The method of distributing profits and losses among the partners. j. The start and end date of the financial year. k. The dissolution of the company. l. Any other provisions, conditions, or data that the partners agree to include in the company's articles of incorporation and that do not conflict with the provisions of the Law.

Chapter Three: Partners in a Limited Partnership Company

Article Fifty-Three: Powers of a Limited Partner

1. A limited partner, or someone they authorize, may, twice during the financial year, review the progress of the company's business, examine its records and documents, and extract a brief statement on the company's financial status from these records and documents.
2. A limited partner may not interfere in external management acts, even if they have a power of attorney. If they do interfere, they shall be personally and jointly liable with all their assets for the company's debts and obligations that result from the acts they have carried out. However, a limited partner may participate in the internal management acts of the company as provided for in its articles of incorporation. This participation does not create any liability on their part unless the acts they have carried out lead a third party to believe that they are a general partner, in which case they shall be considered, towards that third party, personally and jointly liable with all their assets for the company's debts and obligations.

Article Fifty-Four: Company's General Assembly

The general and limited partners may agree in the company's articles of incorporation to have a general assembly for the company, and to specify its competencies and the procedures for its convening.

Article Fifty-Five: Partners' Resolutions

1. Unless the company's articles of incorporation provide otherwise, partners' resolutions shall be issued as follows: a. Resolutions related to amending the articles of incorporation: by the unanimous agreement of the general partners and the approval of

the owners of the majority of the capital belonging to the limited partners. b. Other resolutions: by the approval of the numerical majority of the opinions of the general partners.

2. A limited partner may not request the dissolution of the company nor participate in voting on matters related to the appointment or removal of its manager.

Article Fifty-Six: Assignment of Contributions

1. A limited partner may assign all or part of their contributions to any of the other partners in the company.
2. A limited partner may assign all or part of their contributions to a third party after the approval of all general partners and the owners of the majority of the capital belonging to the limited partners, unless the company's articles of incorporation provide otherwise.
3. A general partner may assign all or part of their contributions for the benefit of a limited partner or a third party, in accordance with the provision of paragraph (2) of this Article.
4. If a limited partner does not provide their contribution to the company's capital by its due date before assigning it, the assignee becomes liable for providing it.
5. General or limited partners may be admitted to the company after the approval of all general partners, without the need to obtain the approval of the limited partners, unless the company's articles of incorporation provide otherwise.

Chapter Four: Dissolution of a Limited Partnership Company

Article Fifty-Seven: Cases of Dissolution

A limited partnership company is not dissolved by the death of any of the limited partners, nor by their being placed under guardianship, nor by their insolvency, nor by the initiation of any of the liquidation procedures against them in accordance with the Bankruptcy Law, nor by their withdrawal, unless the company's articles of incorporation so provide.

Part Four: Joint Stock Company

Chapter One: General Provisions

Article Fifty-Eight: Definition of a Joint Stock Company

A joint stock company is a company established by one or more natural or legal persons, whose capital is divided into tradable shares. The company alone is responsible for the debts and obligations arising from it or from its activity, and the shareholder's liability is limited to paying the value of the shares they have subscribed for.

Article Fifty-Nine: Company's Capital

The issued capital of a joint stock company must not be less than five hundred thousand (500,000) riyals, and the paid-up portion thereof at the time of formation must not be less than one-quarter (1/4).

Article Sixty: Issued and Authorized Capital

1. A joint stock company shall have an issued capital representing the subscribed shares, and the company's bylaws may specify an authorized capital.
2. The company's board of directors may, by a resolution, increase the issued capital within the limits of the authorized capital, provided that the issued capital has been fully paid.

Chapter Two: Formation of a Joint Stock Company

Article Sixty-One: Company's Bylaws Information

1. The bylaws of a joint stock company must specifically include the following information:
 - a. The company's name.
 - b. The company's head office.
 - c. The company's purpose.
 - d. The company's authorized capital, if any, issued capital, and paid-up capital.
 - e. The number of shares, their types and classes, if any, the par value, and the rights attached to each type or class.
 - f. The company's duration, if any.
 - g. The company's management, and specifying the number of members of the board of directors.
 - h. The start and end date of the financial year.
 - i. Any other provisions, conditions, or data that the founders or shareholders agree to include in the company's bylaws and that do not conflict with the provisions of the Law.
2. The following must be attached to the bylaws when submitting the application for the company's formation:
 - a. The names of the founders, their addresses, and nationalities.
 - b. A statement of the expected business and expenses for the company's formation.
 - c. A declaration by the founders of their subscription to all the company's issued shares and the value paid up thereof.
 - d. A certificate of deposit of the paid-up amount of the issued capital with one of the licensed banks in the Kingdom.
 - e. A resolution from the founders appointing the members of the first board of directors, including their names, nationalities, addresses, and dates of birth, and appointing the first auditor in cases where this is required by the provisions of the Law, if they have not been appointed in the company's bylaws.
 - f. A declaration by the founders of their commitment to all the requirements of the Law related to the company's formation.
 - g. A report prepared by one or more accredited valuers showing the fair value of the in-kind contributions, if any, and a declaration from the other founders of their approval of the consideration determined for them.

Article Sixty-Two: Subscription for Shares

If the founders, during the formation stage, do not limit the subscription of all shares to themselves, they must offer the shares they have not subscribed for to subscription in accordance with the Capital Market Law.

Article Sixty-Three: Subscription during the Formation Stage

The Ministry and the Authority shall establish the controls and procedures and specify the necessary documents and approvals for the formation of a joint stock company whose shares are offered for public subscription during the formation stage or are listed on the financial market.

Article Sixty-Four: Deposit of Share Value

1. The paid-up value of the subscribed shares shall be deposited in the name of the company under formation with one of the licensed banks in the Kingdom. It may not be disposed of except by the board of directors after the company is registered with the Commercial Register.
2. If the company is not registered with the Commercial Register, the subscribers may recover the amounts they have paid. The banks in which the subscription was made must promptly return to each subscriber the amount they paid. The founders shall be jointly liable for fulfilling this obligation and for compensation, when necessary, towards the subscribers. The founders shall bear all expenses incurred and dispositions made in the course of forming the company, and shall be jointly liable towards third parties for the acts and dispositions they made during the formation period.

Article Sixty-Five: Registration of the Company with the Commercial Register

The company is considered properly formed after its registration with the Commercial Register. After that, a lawsuit for the annulment of the company for any violation of the provisions of the Law or the provisions of the company's bylaws shall not be heard.

Article Sixty-Six: Valuation of In-Kind Contributions

1. If in-kind contributions are made at the time of the company's formation or upon a capital increase, those contributions must be valued by one or more accredited valuers. The valuer shall prepare a report showing the fair value of these contributions. This report shall be presented to the founders or the extraordinary general assembly, as the case may be, for deliberation. The providers of the in-kind contributions may not participate in the voting on the resolution regarding the report prepared about them. If the founders or the assembly decide to reduce the consideration determined for the in-kind contributions, the consent of the providers of those contributions to this reduction must be obtained.

2. The period between the issuance of the accredited valuer's report estimating the fair value of the in-kind contributions and the issuance of shares in exchange for those contributions must not exceed the period specified by the Regulations.

Chapter Three: Management of a Joint Stock Company

Branch One: Board of Directors

Article Sixty-Seven: Nomination for Board of Directors Membership

1. A joint stock company is managed by a board of directors whose members shall not be less than three (3).
2. Every shareholder has the right to nominate themselves or another person or more, whether shareholders or not, for membership on the board of directors of the joint stock company.

Article Sixty-Eight: Election of Board of Directors Members

1. The ordinary general assembly shall elect the members of the company's board of directors. It is required in all cases that the members of the board of directors be natural persons.
2. The Regulations shall specify the voting method for electing the members of the board of directors of a joint stock company.
3. The company's bylaws may specify the method of forming the board of directors in accordance with the controls specified by the Regulations.
4. The company's bylaws shall specify the term of membership on the board of directors, provided that it does not exceed four (4) years. Members of the board of directors may be re-elected, unless the company's bylaws provide otherwise.
5. The company's bylaws shall specify how membership on the board of directors ends or is terminated at the request of the board. However, the ordinary general assembly may remove all or some of the members of the board of directors, even if the company's bylaws provide otherwise. In this case, the ordinary general assembly must elect a new board of directors or someone to replace the removed member, as the case may be, in accordance with the provisions of the Law. The Competent Authority may set controls for the removal of members of the board of directors by the ordinary general assembly.

Article Sixty-Nine: End of the Board of Directors' Term or Resignation of its Members

1. The board of directors must invite the ordinary general assembly to convene a sufficient time before the end of its term to elect a board of directors for the new term. If the election cannot be held and the term of the current board ends, its members shall continue to perform their duties until a board of directors for the new term is elected,

provided that the period of continuation of the members of the board whose term has ended does not exceed the period specified by the Regulations.

2. If the chairman and members of the board of directors resign, they must invite the ordinary general assembly to convene to elect a new board of directors. The resignation shall not be effective until the new board is elected, provided that the period of continuation of the resigning board does not exceed the period specified by the Regulations.
3. A member of the board of directors may resign from membership on the board by a written notice addressed to the chairman of the board. If the chairman of the board resigns, the notice must be addressed to the other members of the board and the secretary of the board. The resignation is effective in both cases from the date specified in the notice.
4. Unless the company's bylaws provide otherwise, if a position of a member of the board of directors of a joint stock company becomes vacant due to their death or resignation, and this vacancy does not prejudice the conditions necessary for the validity of the board's meeting due to the number of its members falling below the minimum stipulated in the Law or the company's bylaws, the board may temporarily appoint to the vacant position someone with the necessary experience and competence. It must notify the Commercial Register of this, as well as the Authority if the company is listed on the financial market, within fifteen (15) days from the date of the appointment, and present the appointment to the ordinary general assembly at its first meeting. The appointed member shall complete the term of their predecessor.
5. If the conditions necessary for the validity of the board of directors' meeting are not met due to the number of its members falling below the minimum stipulated in the Law or in the company's bylaws, the remaining members must invite the ordinary general assembly to convene within sixty (60) days to elect the necessary number of members.
6. In the event that a board of directors for a new term is not elected or the necessary number of members of the board of directors is not completed, in accordance with paragraphs (1), (2), and (5) of this Article, any interested party may request the competent judicial authority to appoint persons with experience and specialization in the number it deems appropriate to supervise the management of the company and to invite the general assembly to convene within ninety (90) days to elect a new board of directors or to complete the necessary number of members of the board of directors, as the case may be, or to request the dissolution of the company.

Article Seventy: Termination of Membership for Absence from Meetings

The general assembly may, upon the recommendation of the board of directors, terminate the membership of a member who has been absent from three (3) consecutive meetings or five (5) separate meetings during their term of membership without a legitimate excuse accepted by the board of directors.

Article Seventy-One: Disclosure of Interest in Businesses and Contracts

1. Without prejudice to the provision of Article Twenty-Seven of the Law, a member of the board of directors must, as soon as they become aware of any interest, whether direct or indirect, in the businesses and contracts that are made for the company's account, inform the board thereof. This notification shall be recorded in the minutes of the board meeting when it convenes. This member may not participate in the voting on the resolution issued in this regard in the board and the general assemblies. The board shall inform the general assembly at its meeting of the businesses and contracts in which a board member has a direct or indirect interest. The notification shall be accompanied by a special report from the company's auditor prepared in accordance with the auditing standards approved in the Kingdom.
2. If a board member fails to disclose their interest referred to in paragraph (1) of this Article, any interested party may demand before the competent judicial authority the annulment of the contract or obliging the member to pay any profit or benefit they have realized from it.
3. The liability for damages resulting from the businesses and contracts referred to in paragraph (1) of this Article falls on the member with the interest in the business or contract, and on the members of the board of directors in case of their default or negligence in performing their obligations in violation of the provisions of that paragraph, or if it is proven that those businesses and contracts are not fair or involve a conflict of interest and harm the shareholders.
4. The dissenting members of the board of directors are exempted from liability for the resolution, provided they have recorded their objection explicitly in the minutes of the meeting. Absence from the meeting in which the resolution is issued is not a reason for exemption from liability unless it is proven that the absent member was unaware of the resolution or was unable to object to it after becoming aware of it.

Article Seventy-Two: Granting of Loans

1. A joint stock company may not grant a loan of any kind to any of its board members, nor may it enter into any kind of guarantee or provide any securities related to a loan contracted by any of them with a third party. This applies to any loan, guarantee, or security provided to any of their relatives. Any contract made in violation of this shall be void. The company has the right to demand from the violator before the competent judicial authority compensation for any damage it may suffer.
2. The provision of paragraph (1) of this Article shall not apply to the following: a. Banks and other financing companies, as they may, within the limits of their purposes and under the terms and conditions they follow in their transactions with the public, lend to a member of their board of directors, open a credit line for them, or guarantee them in the loans they contract with third parties. b. Loans and guarantees granted by the company under employee incentive programs that have been approved in accordance with the provisions of the company's bylaws or by a resolution of the general assembly.
3. The Competent Authority may specify the cases and controls in which the company may not provide a loan or guarantee related to a loan to any of its shareholders.

Article Seventy-Three: Supervision of the Board of Directors

A shareholder shall exercise supervision over the board of directors in accordance with the provisions of the Law. A shareholder may not interfere in the work of the board of directors or the executive management of the company unless they are a member of its board of directors or work in its executive management, or their intervention is through the general assembly and in accordance with its competencies.

Article Seventy-Four: Contracting Loans and Disposing of Company Assets

The board of directors may contract loans of any duration, sell or mortgage the company's assets, sell or mortgage the company's commercial establishment, or release the company's debtors from their obligations, unless the company's bylaws or a resolution from the general assembly restricts the powers of the board of directors in this regard.

Article Seventy-Five: Sale of Company Assets

The board of directors must obtain the approval of the general assembly when selling company assets whose value exceeds fifty percent (50%) of the value of its total assets, whether the sale is made through a single transaction or several transactions. In this case, the transaction that leads to exceeding the fifty percent (50%) threshold of the assets' value is the transaction that requires the approval of the general assembly. This percentage is calculated from the date of the first transaction made during the preceding twelve (12) months. The Competent Authority may exempt certain businesses and dispositions from the provision of this Article.

Article Seventy-Six: Remuneration of Board of Directors Members

1. The company's bylaws shall specify the method of remunerating the members of the board of directors. This remuneration may be a specific amount, an attendance allowance for meetings, in-kind benefits, or a certain percentage of the net profits. A combination of two or more of the foregoing is permissible. The company's bylaws may also specify the maximum limit for such remuneration. The ordinary general assembly shall determine the amount of such remuneration, taking into account that the remuneration should be fair, motivating, and commensurate with the member's performance and the company's performance. The Regulations shall specify the necessary controls for implementing this paragraph.
2. The report of the board of directors to the ordinary general assembly at its annual meeting must include a comprehensive statement of everything each member of the board of directors has received or is entitled to receive during the financial year in terms of remuneration, attendance allowances for meetings, expense allowances, and other benefits. It must also include a statement of what the board members have received as employees or administrators or what they have received in return for technical, administrative, or advisory work. It must also include a statement of the number of board meetings and the number of meetings attended by each member.

Article Seventy-Seven: Powers of the Board of Directors

1. Without prejudice to the competencies assigned to the general assembly, the board of directors shall have the broadest powers in managing the company to achieve its purposes, except for what is excluded by a special provision in the Law or the company's bylaws of acts or dispositions that fall within the competence of the general assembly. The board also has the right, within the limits of its competencies, to delegate one or more of its members or a third party to carry out a specific act or acts.
2. The company is bound by all acts and dispositions carried out by the board of directors in its name, even if they are outside its competence, unless the person dealing with it was acting in bad faith or knew that those acts were outside the board's competencies.

Article Seventy-Eight: Distribution of Competencies in the Board of Directors

1. Without prejudice to the company's bylaws, the board of directors of a joint stock company shall, at its first meeting, appoint from among its members a chairman of the board. It may appoint from its members a managing director or a chief executive officer. The company's bylaws shall specify their competencies and powers. If the company's bylaws are silent on the distribution of competencies, the board of directors shall undertake this.
2. The board of directors of a joint stock company listed on the financial market shall, at its first meeting, appoint from its members a vice-chairman. A vice-chairman may be appointed in a joint stock company not listed on the financial market.
3. The board of directors in a joint stock company shall appoint a chief executive officer from its members or from others, and the board shall determine their powers and salary if the company's bylaws do not include provisions in this regard.
4. The board of directors in a joint stock company shall appoint a secretary from its members or from others, and the board shall determine their competencies and salary if the company's bylaws do not include provisions in this regard.
5. The board of directors may relieve the chairman of the board, the vice-chairman, the managing director, the chief executive officer, and the secretary, or any of them, from those positions. This shall not result in their relief from their membership on the board.

Article Seventy-Nine: Representation of the Company

1. Without prejudice to the competencies of the board of directors set out in the Law and the company's bylaws, the chairman of the board of directors shall represent the joint stock company before the judiciary, arbitration bodies, and third parties. The company's bylaws may provide that the managing director or the chief executive officer has the authority to represent it. Any of them may delegate a third party to represent the company.
2. The chairman of the board of directors of a joint stock company may, by a written resolution, delegate some of their powers to other members of the board or to a third party to carry out a specific act or acts, unless the company's bylaws provide otherwise.

3. The vice-chairman of the board of directors shall replace the chairman of the board of directors in their absence in cases where the board of directors has a vice-chairman.

Article Eighty: Board of Directors Meetings

1. The board of directors of a joint stock company shall meet at least four (4) times a year at the invitation of its chairman in accordance with the procedures stipulated in the company's bylaws. The Competent Authority may amend the minimum number stipulated in this paragraph. The chairman of the board must invite the board to meet whenever requested in writing by any member of the board to discuss any topic.
2. A meeting of the board of directors of a joint stock company is not valid unless attended by at least half (1/2) of the members in person or by proxy, unless the company's bylaws provide for a higher percentage.
3. Resolutions of the board of directors of a joint stock company are issued by a majority of the votes of the members present (in person or by proxy). In case of a tie, the side with which the chairman of the meeting voted shall prevail, unless the company's bylaws provide otherwise.
4. The board of directors shall determine the place of its meetings. They may be held using modern technology means.

Article Eighty-One: Proxy for Attending Meetings and Effectiveness of Board of Directors' Resolutions

1. A member of the board of directors of a joint stock company may not appoint another person as a proxy to attend board meetings or to vote on its resolutions. As an exception, a member of the board of directors may appoint any of the members as a proxy if the company's bylaws so provide, provided that the proxy member does not have more than one proxy.
2. A resolution of the board of directors of a joint stock company is effective from the date of its issuance, unless it provides for its effectiveness at another time or upon the fulfillment of certain conditions.

Article Eighty-Two: Issuing Resolutions on Urgent Matters

The board of directors of a joint stock company may issue its resolutions on urgent matters by circulating them to all members, unless a member requests in writing that the board meet for deliberation. Such resolutions are issued with the approval of a majority of the votes of its members, unless the company's bylaws provide for a higher percentage or number. These resolutions shall be presented to the board at its first subsequent meeting to be recorded in the minutes of that meeting.

Article Eighty-Three: Minutes of Board of Directors Meetings

1. The deliberations and resolutions of the board of directors of a joint stock company shall be recorded in minutes prepared by the secretary and signed by the chairman of the meeting, the attending board members, and the secretary.
2. The minutes shall be recorded in a special register signed by the chairman of the board of directors and the secretary.
3. Modern technology means may be used for signing, recording deliberations and resolutions, and recording the minutes.

Branch Two: Shareholders' Assemblies

Article Eighty-Four: Meeting of the General Assembly of Shareholders

1. The meeting of the general assembly of shareholders shall be chaired by the chairman of the board of directors, or their deputy in their absence, or someone delegated by the board of directors from its members in their absence. If this is not possible, the general assembly shall be chaired by someone delegated by the shareholders from the members of the board or from others through voting.
2. Every shareholder has the right to attend the meeting of the general assembly, even if the company's bylaws provide otherwise. They may appoint another person, other than a member of the board of directors, as a proxy for this purpose.
3. The meeting of the general assembly may be held and a shareholder may participate in the deliberations and vote on the resolutions through modern technology means.

Article Eighty-Five: Competencies of the Extraordinary General Assembly

The extraordinary general assembly is competent in the following:

1. Amending the company's bylaws, except for what relates to the following: a. Depriving a shareholder of or amending any of their fundamental rights derived from their capacity as a shareholder, taking into account the nature of the rights related to the type or class of shares owned by the shareholder, especially the following: (1) Receiving a share of the profits decided to be distributed, whether the distribution is in cash or through the issuance of bonus shares to non-employees of the company and its subsidiaries. (2) Receiving a share of the company's net assets upon liquidation. (3) Attending general or special shareholders' assemblies, participating in their deliberations, and voting on their resolutions. (4) Disposing of their shares, except in accordance with the provisions of the Law. (5) Requesting access to the company's records and documents, monitoring the work of the board of directors, filing a liability lawsuit against the members of the board, and challenging the validity of the resolutions of the general and special shareholders' assemblies. b. Amendments that would increase the financial burdens of the shareholders, unless all shareholders agree to them.
2. Deciding on the continuation or dissolution of the company.
3. Approving the company's purchase of its own shares.

Article Eighty-Six: Issuance by the Extraordinary General Assembly of Ordinary General Assembly Resolutions

The extraordinary general assembly may, in addition to the competencies assigned to it under the provisions of the Law, issue resolutions on matters that are originally within the competencies of the ordinary general assembly, under the same conditions and procedures prescribed for the ordinary general assembly.

Article Eighty-Seven: Competencies of the Ordinary General Assembly

Except for what is within the competence of the extraordinary general assembly, the ordinary general assembly is competent in all matters related to the company, and in particular, the following: a. Electing and removing members of the board of directors. b. Appointing one or more auditors for the company, as required by the Law, determining their fees, reappointing them, and removing them. c. Reviewing and discussing the report of the board of directors. d. Reviewing and discussing the company's financial statements. e. Discussing the auditor's report, if any, and making a decision thereon. f. Deciding on the proposals of the board of directors regarding the method of distributing profits. g. Forming the company's reserves and determining their uses.

Article Eighty-Eight: Meeting of the Ordinary General Assembly

1. The annual ordinary general assembly shall convene at least once during the six (6) months following the end of the company's financial year. Other ordinary general assemblies may be called whenever the need arises.
2. The agenda of the ordinary general assembly at its annual meeting must include the following items: a. Reviewing and discussing the report of the board of directors for the past financial year. b. Reviewing and discussing the financial statements for the past financial year. c. Discussing the auditor's report for the past financial year, if any, and making a decision thereon. d. Deciding on the proposals of the board of directors regarding the distribution of profits, if any.
3. The requirement for convening the annual ordinary general assembly is met by the convening of an extraordinary general assembly during the six (6) months following the end of the company's financial year, with its agenda including the items listed in paragraph (2) of this Article.

Article Eighty-Nine: Amendment of the Rights of Shareholder Classes

If a resolution of the general assembly would amend the rights of a specific class of shareholders, the resolution shall not be effective unless it is approved by those with voting rights from among these shareholders meeting in a special assembly in accordance with the provisions prescribed for the convening of the extraordinary general assembly and the issuance of its resolutions.

Article Ninety: General and Special Assemblies

1. General and special assemblies shall convene at the invitation of the board of directors, in accordance with the procedures stipulated in the company's bylaws. The board of directors must invite the ordinary general assembly to convene within thirty (30) days from the date of a request from the auditor or a shareholder or more representing at least ten percent (10%) of the company's shares with voting rights. The auditor may invite the ordinary general assembly to convene if the board does not issue the invitation within thirty (30) days from the date of the auditor's request.
2. The request referred to in paragraph (1) of this Article must specify the items on which the shareholders are required to vote.
3. The Competent Authority may, by a resolution, invite the general assembly to convene in the following cases: a. If the period specified for the convening of the ordinary general assembly as stated in paragraph (1) of Article Eighty-Eight of the Law has expired without it being convened. b. If it becomes apparent that there are violations of the provisions of the Law or the company's bylaws, or a defect in the company's management, including a decrease in the number of members of the board of directors below the minimum for the validity of its meeting. c. If the board does not issue the invitation to convene the ordinary general assembly within the period specified in paragraph (1) of this Article from the date of the request from the auditor or a shareholder or more representing at least ten percent (10%) of the company's shares with voting rights. The Competent Authority may take the necessary measures to hold the ordinary general assembly, and may chair that assembly's meeting if it is not possible to chair it in accordance with the provision of paragraph (1) of Article Eighty-Four of the Law.

Article Ninety-One: Calling for an Assembly Meeting

1. The invitation to convene the assembly shall be sent at least twenty-one (21) days before the date set for it, in accordance with the controls specified by the Regulations, taking into account the following: a. Notifying the shareholders by registered letters to their addresses listed in the register of shareholders, or by announcement through modern technology means. b. Sending a copy of the invitation and the agenda to the Commercial Register, and a copy to the Authority if the company is listed on the financial market, on the date of announcing the invitation.
2. The invitation to the assembly meeting must include, at a minimum, the following: a. A statement of the person entitled to attend the assembly meeting and their right to appoint a proxy of their choice, other than a member of the board of directors, and a statement of the shareholder's right to discuss the topics on the agenda, ask questions, and how to exercise the right to vote. b. The place, date, and time of the meeting. c. The type of assembly, whether general or special. d. The agenda of the meeting, including the items on which the shareholders are required to vote.
3. The shareholders in a joint stock company not listed on the financial market who represent all the company's shares with voting rights may hold a general assembly

without observing the procedures and periods prescribed for the invitation, to consider matters for which the decision is within the competence of the general assembly.

Article Ninety-Two: Quorum Required for an Ordinary General Assembly Meeting

1. A meeting of the ordinary general assembly is not valid unless attended by shareholders representing at least one-quarter ($\frac{1}{4}$) of the company's shares with voting rights, unless the company's bylaws provide for a higher percentage, provided that it does not exceed one-half ($\frac{1}{2}$).
2. If the quorum required to hold the ordinary general assembly meeting according to paragraph (1) of this Article is not met, an invitation shall be sent for a second meeting to be held under the same procedures stipulated in Article Ninety-One of the Law within the thirty (30) days following the date set for the previous meeting. However, the second meeting may be held one hour after the end of the period set for the first meeting, provided that the company's bylaws permit this and that the invitation to the first meeting includes a statement of the possibility of holding that meeting. In all cases, the second meeting shall be valid regardless of the number of shares with voting rights represented therein.
3. Resolutions of the ordinary general assembly are issued with the approval of a majority of the voting rights represented in the meeting.

Article Ninety-Three: Quorum Required for an Extraordinary General Assembly Meeting

1. A meeting of the extraordinary general assembly is not valid unless attended by shareholders representing at least one-half ($\frac{1}{2}$) of the company's shares with voting rights, unless the company's bylaws provide for a higher percentage, provided that it does not exceed two-thirds ($\frac{2}{3}$).
2. If the quorum required to hold the extraordinary general assembly meeting according to paragraph (1) of this Article is not met, an invitation shall be sent for a second meeting to be held under the same procedures stipulated in Article Ninety-One of the Law. However, the second meeting may be held one hour after the end of the period set for the first meeting, provided that the invitation to the first meeting includes a statement of the possibility of holding that meeting. In all cases, the second meeting shall be valid if attended by shareholders representing at least one-quarter ($\frac{1}{4}$) of the company's shares with voting rights.
3. If the quorum required to hold the second meeting is not met, an invitation shall be sent for a third meeting to be held under the same procedures stipulated in Article Ninety-One of the Law. The third meeting shall be valid regardless of the number of shares with voting rights represented therein.
4. Resolutions of the extraordinary general assembly are issued with the approval of two-thirds ($\frac{2}{3}$) of the voting rights represented in the meeting, unless the resolution relates to increasing or reducing the capital, extending the company's duration, dissolving it

before the end of the period specified in its bylaws, merging it with another company, or dividing it into two or more companies, in which case it shall not be valid unless issued with the approval of three-quarters (3/4) of the voting rights represented in the meeting.

5. The board of directors must register the resolutions of the extraordinary general assembly specified by the Regulations with the Commercial Register within fifteen (15) days from the date of their issuance.

Article Ninety-Four: Effectiveness of a General Assembly Resolution

A resolution of the general assembly of a joint stock company is effective from the date of its issuance, except in cases where the Law, the company's bylaws, or the issued resolution provides for its effectiveness at another time or upon the fulfillment of certain conditions.

Article Ninety-Five: Voting in the Shareholders' Assembly

1. The company's bylaws shall specify the method of voting in the shareholders' assembly.
2. Members of the board of directors may not participate in voting on the assembly's resolutions related to businesses and contracts in which they have a direct or indirect interest or that involve a conflict of interest.

Article Ninety-Six: Agenda of the General Assembly

1. The board of directors, when preparing the agenda of the general assembly, must take into account the topics that the shareholders wish to include. A shareholder or more representing at least ten percent (10%) of the company's shares with voting rights has the right to add one or more topics to the agenda when it is being prepared. The Competent Authority may amend this percentage.
2. The board of directors must list each topic from the topics on the agenda as a separate item, not combine substantively different topics under a single item, and not place businesses and contracts in which members of the board of directors have a direct or indirect interest under a single item for the purpose of voting on the item as a whole.
3. Every shareholder has the right to discuss the topics on the agenda of the general assembly and to ask questions to the members of the board of directors and the auditor. Any provision in the company's bylaws that deprives the shareholder of this right is void. The board of directors or the auditor must answer the shareholders' questions to the extent that it does not expose the company's interest to harm. If a shareholder believes that the response to their question is insufficient, they shall refer to the general assembly, and its decision in this matter shall be effective.

Article Ninety-Seven: Minutes of the Assembly Meeting

Minutes shall be drawn up for the assembly meeting, including the number of shareholders present in person and by proxy, the number of shares they hold in person and by proxy, the number of votes assigned to them, the resolutions taken, the number of votes that approved or opposed them, and a sufficient summary of the discussions that took place at the meeting. The minutes shall be recorded regularly after each meeting in a special register signed by the

chairman of the assembly, its secretary, and the vote counters. The Competent Authority may set controls regarding the minutes of assembly meetings and the duties of their secretaries and vote counters.

Article Ninety-Eight: Single-Shareholder Joint Stock Company

In the case of the formation of a joint stock company by a single person, or if all its shares devolve to a single person, this person shall have the powers and authorities of the shareholders' assemblies stipulated in this Part. Their resolutions shall be issued in writing, without the need to call a general assembly. These resolutions shall be recorded in the special register stipulated in Article Ninety-Seven of the Law.

Article Ninety-Nine: Objecting to a Shareholders' Assembly Resolution

1. Without prejudice to the rights of a third party acting in good faith, any shareholder may apply to the competent judicial authority to request the annulment of a resolution of the shareholders' assembly issued in violation of the provisions of the Law or the company's bylaws, if they objected to it during the meeting or were absent with an acceptable excuse. A lawsuit for annulment shall not be heard after the lapse of ninety (90) days from the date the resolution was issued.
2. To file the lawsuit referred to in paragraph (1) of this Article, the plaintiff must be a shareholder in the company at the time of filing the lawsuit and throughout all its proceedings.

Article One Hundred: Issuing a Resolution by Circulation

1. The bylaws of a joint stock company not listed on the financial market may provide that the chairman of the board of directors may propose the issuance of a general assembly resolution by circulating it to the shareholders, without the need to convene it, unless a shareholder requests in writing that the general assembly meet for deliberation. However, to issue any of the general assembly resolutions related to the election and removal of the members of the company's board of directors, the appointment and removal of the company's auditor, if any, and to review and discuss the financial statements for the past financial year, the general assembly must be convened in accordance with the relevant provisions.
2. For the proposed resolution to be issued in accordance with paragraph (1) of this Article to be valid, it must be sent, accompanied by the relevant documents, to all shareholders, with a statement of what the shareholder must follow to approve it and the date by which it must be issued.

Article One Hundred and One: Quorum Required for Issuing a Resolution by Circulation

1. Resolutions of the general assembly by circulation in joint stock companies not listed on the financial market are issued according to the following mechanism: a. Regarding a

resolution that falls within the competence of the ordinary general assembly, it is issued with the approval of a shareholder or more representing a majority of the voting rights, unless the company's bylaws provide for a higher percentage. b. Regarding a resolution that falls within the competence of the extraordinary general assembly, it is issued with the approval of a shareholder or more representing at least seventy-five percent (75%) of the voting rights, unless the company's bylaws provide for a higher percentage.

2. Resolutions of the general assembly issued by circulation in accordance with what is stated in paragraph (1) of this Article shall be recorded in minutes and entered in the special register stipulated in Article Ninety-Seven of the Law.

Article One Hundred and Two: Request for Inspection of the Company

1. A shareholder or more representing at least five percent (5%) of the company's capital has the right to submit a request to the competent judicial authority for an inspection of the company if it appears from the actions of the members of the board of directors or the auditor in the company's affairs that there is cause for suspicion.
2. The competent judicial authority may order the inspection to be carried out at the expense of the applicant, after a session in which the members of the board of directors or the auditor are notified to hear their statements. It may, when necessary, require the applicant to provide a guarantee if the company requests it.
3. If the competent judicial authority finds the complaint to be valid, it may order such precautionary measures as it deems appropriate, invite the general assembly to take the necessary resolutions, and may remove the members of the board of directors and the auditor, and appoint persons with experience and specialization in the number it deems appropriate to supervise the management of the company and invite the general assembly to convene to elect a new board of directors. The competent judicial authority shall determine the limits of their powers and their term of work.

Chapter Four: Shares, Debt Instruments, and Financing Sukuk Issued by a Joint Stock Company

Branch One: Shares

Article One Hundred and Three: Company's Shares

1. The shares of a joint stock company shall be nominal and indivisible towards the company. If a share is owned by multiple persons, they must choose one of them to represent them in exercising the rights related to it. These persons shall be jointly liable for the obligations arising from the ownership of the share.
2. The company's bylaws shall specify the par value of its shares. Shares of the same type or class shall be of equal par value.
3. Without prejudice to paragraph (2) of this Article, shares may be split into shares of a lower par value, or consolidated to represent shares of a higher par value. The Competent Authority shall set the necessary controls for this.

4. A joint stock company not listed on the financial market is obliged to issue a paper or electronic certificate proving ownership of the share.

Article One Hundred and Four: Effect of Subscribing for Shares

Subscribing for or owning shares implies the shareholder's acceptance of the company's bylaws and their commitment to the resolutions issued by the shareholders' assemblies in accordance with the provisions of the Law and the company's bylaws, whether they were present or absent, and whether they approved or opposed these resolutions.

Article One Hundred and Five: Issuance of Company's Shares

1. The company's shares are issued in exchange for cash or in-kind contributions.
2. The paid-up value of shares issued in exchange for cash contributions must not be less than one-quarter (1/4) of their par value specified in the company's bylaws. The paper or electronic share certificate of a joint stock company not listed on the financial market shall state the amount paid of its value. In all cases, the remainder of this value must be paid within five (5) years from the date of issuance of the shares.
3. Shares representing in-kind contributions are issued after their value is fully paid, and are not delivered to their owners until after the full ownership of these contributions is transferred to the company.

Article One Hundred and Six: Par Value of Shares

Shares may not be issued for less than their par value. They may be issued for more than this value if the company's bylaws so provide or the extraordinary general assembly approves it. In this case, the difference in value is placed in a separate item within shareholders' equity, and the Regulations shall specify the controls for its use.

Article One Hundred and Seven: Rights Attached to Shares

The shareholder is entitled to the rights attached to the share, which include the right to dispose of it, the right to attend shareholders' assemblies, participate in their deliberations, vote on their resolutions, the right to receive a share of the profits decided to be distributed, the right to elect members of the board of directors, the right to access the company's records and documents without prejudice to the confidentiality of information, monitor the work of the board of directors, file a liability lawsuit against the members of the board, challenge the validity of the resolutions of the shareholders' assemblies, and the right to receive a share of the company's assets upon liquidation, under the conditions and restrictions contained in the Law or in the company's bylaws.

Article One Hundred and Eight: Types and Classes of Shares

1. The types of shares that the company may issue are divided into ordinary shares, preferred shares, and redeemable shares. The company's bylaws may provide for

different classes of share types, grant certain rights or privileges, or place restrictions on some of those classes.

2. Shares of the same type or class confer equal rights and obligations. Each type or class of shares shall have the rights attached to it in accordance with the company's bylaws.
3. The Regulations shall specify controls for the types and classes of shares that may be issued.

Article One Hundred and Nine: Conversion of Shares

1. In cases where the company has shares of different types or classes, one type or class may be converted into another type or class if the company's bylaws so provide.
2. To convert one type or class of shares into another type or class, the approval of the extraordinary general assembly is required. This excludes cases where the resolution to issue the shares provides for their automatic conversion into another type or class upon the fulfillment of certain conditions or after the lapse of a specified period.
3. The provisions contained in Article One Hundred and Ten of the Law shall apply in cases where the conversion of shares results in the amendment or cancellation of the rights or obligations attached to the type or class of the share.
4. Ordinary shares, preferred shares, or any of their classes may not be converted into redeemable shares or any of their classes except with the approval of all shareholders in the company.
5. The Regulations shall specify the controls for implementing the provisions of this Article and how to deal with the effects, rights, and obligations of the shares before or after the conversion.

Article One Hundred and Ten: Amendment of Rights or Obligations Attached to Shares

1. If the company's shares are of different types and classes, or if the company's bylaws permit the issuance of different types and classes of shares, then to amend or cancel any of the rights, obligations, or restrictions attached to the shares, or to convert any type or class of shares into another type or class if this results in the amendment or cancellation of the rights or obligations attached to the type or class of shares to be converted, or to issue shares of a specific type or class that would affect the rights of another class of shareholders, the approval of a special assembly composed in accordance with Article Eighty-Nine of the Law of the owners of the shares who would be harmed by this amendment, cancellation, conversion, or issuance, and the approval of the extraordinary general assembly, are required.
2. If the company's shares include preferred shares or redeemable shares, new shares that have priority over any of their classes may not be issued except with the approval of a special assembly composed in accordance with Article Eighty-Nine of the Law of the owners of the shares who would be harmed by this issuance.

Article One Hundred and Eleven: Restrictions on Trading of Shares

1. The Authority may impose restrictions related to the trading of shares in joint stock companies that wish to list their shares on the financial market.
2. The company's bylaws may provide for restrictions related to the trading of shares, including establishing a right for shareholders to request the redemption of shares. It is required in all cases that this does not result in an absolute prohibition of this trading.

Article One Hundred and Twelve: Register of Shareholders

1. A joint stock company not listed on the financial market shall prepare a special register of the names of the shareholders, their nationalities, details, places of residence, and professions, the number of shares owned by each of them, the share numbers, and the amount paid up thereof. The company may contract for the preparation of this register, and it must be kept in the Kingdom.
2. The company must provide the Commercial Register with the data of the register referred to in paragraph (1) of this Article and any amendment thereto within fifteen (15) days from the date of the company's registration with the Commercial Register or from the date of the amendment, as the case may be.

Article One Hundred and Thirteen: Obligation to Sell Shares

Without prejudice to the Capital Market Law, the company's bylaws may, with the approval of shareholders representing at least ninety percent (90%) of the company's shares with voting rights, provide for the following: a. That a majority of shareholders may oblige the minority to accept an offer from a bona fide purchaser to buy all the company's shares at the same price, terms, and conditions as for the purchase of the majority's shares. b. That a minority of shareholders may oblige the majority to ensure the sale of the minority's shares in cases where the majority sells their shares at the same price, terms, and conditions as for the sale of the majority's shares.

Article One Hundred and Fourteen: Purchase, Pledge, and Mortgage of Shares

1. The company may purchase or pledge its own shares if its bylaws permit it. The shares purchased by the company shall have no votes in the shareholders' assemblies.
2. Shares may be mortgaged. The mortgagee creditor has the right to receive the profits and exercise the rights attached to the share, unless otherwise agreed in the mortgage contract. The mortgagee creditor may not attend the meetings of the shareholders' assemblies or vote in them.
3. The Regulations shall specify the necessary controls for implementing the provisions of this Article.

Article One Hundred and Fifteen: Default in Payment

1. The shareholder is obliged to pay the remainder of the share's value on the specified dates. If they default in payment on the specified date, the board of directors may, after notifying them through the methods prescribed in the company's bylaws or notifying them by registered letter or by any modern technology means, sell the share at public auction or on the financial market, as the case may be. The company's bylaws may provide that the other shareholders have priority in purchasing the shares of the defaulting shareholder.
2. The company shall collect from the proceeds of the sale the amounts due to it and return the remainder to the owner of the share. If the proceeds of the sale are not sufficient to cover these amounts, the company may collect the remainder from all the shareholder's assets.
3. The enforcement of the rights attached to the shares for which payment is in default is suspended upon the expiry of the specified date until they are sold or the amount due is paid in accordance with the provision of paragraph (1) of this Article. This includes the right to receive a share of the net profits decided to be distributed and the right to attend assemblies and vote on their resolutions. However, the defaulting shareholder may, until the day of the sale, pay the amount due plus the expenses incurred by the company in this regard. In this case, the shareholder has the right to request the profits that were decided to be distributed.
4. The company shall cancel the certificate of the share sold in accordance with the provisions of this Article and give the purchaser a new certificate bearing the same number, and shall note in the register of shareholders the occurrence of the sale with the inclusion of the necessary data for the new owner.

Article One Hundred and Sixteen: Demanding Payment Exceeding the Shareholder's Commitment

The company may not demand that the shareholder pay amounts exceeding the amount they committed to at the time of the share's issuance, even if the company's bylaws so provide.

Branch Two: Debt Instruments and Financing Sukuk

Article One Hundred and Seventeen: Issuance of Debt Instruments and Financing Sukuk

1. A joint stock company may issue, in accordance with the Capital Market Law, tradable debt instruments or financing sukuk.
2. To issue debt instruments or financing sukuk convertible into shares, a resolution from the extraordinary general assembly is required, specifying the maximum number of shares that may be issued in exchange for those instruments or sukuk, whether those instruments or sukuk are issued at one time, through a series of issuances, or through one or more issuance programs. The board of directors shall, without the need for a new approval from this assembly, issue new shares in exchange for those instruments or

sukuk whose holders request their conversion immediately after the end of the conversion request period specified for the holders of those instruments or sukuk, or upon the fulfillment of the conditions for their automatic conversion into shares or the lapse of the period specified for this conversion. The board shall take the necessary steps to amend the company's bylaws regarding the number of issued shares and the capital.

3. The board of directors must register the completion of the procedures for each capital increase with the Commercial Register.

Article One Hundred and Eighteen: Conversion of Debt Instruments and Financing Sukuk

The company may convert debt instruments or financing sukuk into shares in accordance with the Capital Market Law, with the consent of their holder, whether this consent is prior, such as being part of the issuance conditions, or by a subsequent agreement.

Article One Hundred and Nineteen: Compensation for Damage

Any interested party may request from the competent judicial authority the annulment of a disposition made in violation of the provisions of Articles One Hundred and Seventeen or One Hundred and Eighteen of the Law, in addition to compensating the holders of the debt instruments or financing sukuk for the damage they have suffered.

Article One Hundred and Twenty: Effectiveness of Shareholders' Assembly Resolutions

The resolutions of the shareholders' assemblies are binding on the holders of debt instruments and financing sukuk. However, these assemblies may not amend the rights granted to them except with their approval issued in a special assembly held in accordance with the provisions of Article Eighty-Nine of the Law.

Chapter Five: Finances of a Joint Stock Company

Article One Hundred and Twenty-One: Financial Statements and Report on the Company's Activity

1. The board of directors must, at the end of each financial year of the company, prepare the company's financial statements and a report on its activity and financial position for the past financial year. This report shall include the proposed method for distributing profits. The board shall make these documents available to the auditor, if any, at least forty-five (45) days before the date set for the annual ordinary general assembly meeting.
2. The chairman of the company's board of directors, its chief executive officer, and its chief financial officer, if any, must sign the documents referred to in paragraph (1) of this

Article. Copies thereof shall be deposited at the company's head office at the disposal of the shareholders.

Article One Hundred and Twenty-Two: Providing Shareholders with and Depositing Financial Statements

The chairman of the board of directors must provide the shareholders with the company's financial statements and the board of directors' report, after they are signed, and the auditor's report, if any, unless they are published through any modern technology means, at least twenty-one (21) days before the date set for the annual ordinary general assembly meeting. They must also deposit these documents as specified by the Regulations.

Article One Hundred and Twenty-Three: Formation of Reserves

1. The company's bylaws may provide for setting aside a certain percentage of the net profits to form a reserve allocated for the purposes specified by the bylaws. The Competent Authority may set controls for the formation of reserves.
2. The ordinary general assembly, when determining the share of the shares in the net profits, may decide to form other reserves, to the extent that serves the company's interest or ensures the distribution of stable profits, as much as possible, to the shareholders. The said assembly may also deduct amounts from the net profits to achieve social purposes for the company's employees.

Article One Hundred and Twenty-Four: Use of Reserves

1. A reserve allocated for specific purposes in the company's bylaws may not be used except by a resolution of the extraordinary general assembly. If this reserve is not allocated for a specific purpose, the ordinary general assembly may, upon the proposal of the board of directors, decide to spend it on what benefits the company or the shareholders. The Competent Authority may set controls for the use of reserves.
2. The ordinary general assembly may use the retained earnings and distributable reserves to pay the remaining value of the share or part of it, provided that this does not prejudice fairness among the shareholders in accordance with the provisions of the Law.

Article One Hundred and Twenty-Five: Distribution of Profits to Shareholders

1. The general assembly shall determine the percentage of net profits to be distributed to the shareholders after deducting the reserves, if any.
2. A shareholder is entitled to their share in the profits according to the resolution of the general assembly issued in this regard. The resolution shall specify the record date and the distribution date. The entitlement to profits belongs to the shareholders registered in the shareholders' records on the record date. The Regulations shall specify the maximum period during which the board of directors must implement the general assembly's resolution regarding the distribution of profits to the shareholders.

Chapter Six: Amendment of the Capital of a Joint Stock Company

Branch One: Capital Increase

Article One Hundred and Twenty-Six: Methods of Capital Increase

Capital is increased by one of the following methods: a. Issuing new shares in exchange for cash or in-kind contributions. b. Issuing new shares in exchange for specific, due debts of the company, with the consent of the concerned creditors, provided that the issuance is at the value determined by the extraordinary general assembly after seeking the opinion of an expert or one or more accredited valuers, and after the board of directors prepares a statement on the origin and amount of these debts. The members of the board shall sign this statement and be responsible for its accuracy. A report from the company's auditor shall be attached thereto. c. Issuing new shares in the amount of the reserve that the extraordinary general assembly decides to incorporate into the capital. These shares must be issued in the same form and conditions as the issued shares of the same type or class, and those shares shall be distributed to the shareholders free of charge in proportion to what each of them owns of the original shares. d. Issuing new shares in exchange for debt instruments or financing sukuk.

Article One Hundred and Twenty-Seven: Increase of Issued or Authorized Capital

1. The extraordinary general assembly may decide to increase the company's issued capital, or authorized capital, if any, provided that the issued capital has been fully paid. It is not required that the capital be fully paid if the unpaid part thereof is due to shares issued in exchange for the conversion of debt instruments or financing sukuk into shares and the period for their conversion has not yet ended.
2. The extraordinary general assembly may in all cases allocate the shares issued upon a capital increase, or part thereof, to the employees of the company and its subsidiaries or some of them. Shareholders may not exercise the pre-emptive right when the company issues shares allocated to employees. The Competent Authority may set controls and procedures for allocating shares to employees of the company or its subsidiaries or some of them, or any of that.
3. In all cases, the par value of the increase shares must be equal to the par value of the original shares of the same type or class.

Article One Hundred and Twenty-Eight: Pre-emptive Right to Subscribe for New Shares

A shareholder who owns a share at the time of the issuance of the extraordinary general assembly's resolution approving the increase of the issued capital or the board of directors' resolution approving its increase within the limits of the authorized capital has the pre-emptive right to subscribe for the new shares issued in exchange for cash contributions. They shall be notified of their pre-emptive right, if any, by a registered letter to their address listed in the

register of shareholders, or through modern technology means, and of the capital increase resolution, the subscription conditions and method, and its start and end date, taking into account the type and class of the share they own.

Article One Hundred and Twenty-Nine: Suspension of the Pre-emptive Right

The extraordinary general assembly has the right, if the company's bylaws so provide, to suspend the pre-emptive right of shareholders to subscribe for a capital increase in exchange for cash contributions or to grant the pre-emptive right to non-shareholders in cases it deems to be in the company's interest.

Article One Hundred and Thirty: Sale or Assignment of the Pre-emptive Right

A shareholder in a joint stock company may sell or assign the pre-emptive right for a material consideration or without consideration, as specified by the Regulations.

Article One Hundred and Thirty-One: Allotment of New Shares

New shares are allotted to the holders of pre-emptive rights who have requested to subscribe in proportion to the pre-emptive rights they hold out of the total of these rights resulting from the capital increase, provided that what they receive does not exceed what they requested of the new shares and taking into account the type and class of the share they own. The remainder of the new shares is allotted to the holders of pre-emptive rights who have requested more than their share in proportion to the pre-emptive rights they hold out of the total of these rights resulting from the capital increase, provided that what they receive does not exceed what they requested of the new shares. The remaining shares are offered to third parties, unless the extraordinary general assembly decides or the Capital Market Law provides otherwise.

Article One Hundred and Thirty-Two: Company's Losses

If the losses of a joint stock company reach one-half ($1/2$) of the issued capital, the board of directors must disclose this and its recommendations regarding those losses within sixty (60) days from the date it becomes aware of them reaching this amount, and invite the extraordinary general assembly to meet within one hundred and eighty (180) days from the date of becoming aware of this to consider the continuation of the company while taking any of the necessary measures to address those losses, or its dissolution.

Branch Two: Capital Reduction

Article One Hundred and Thirty-Three: Methods of Capital Reduction

Capital is reduced by one of the following methods: a. Canceling a number of shares equivalent to the amount to be reduced. b. Reducing the par value of the share by canceling a part of it

equivalent to the loss incurred by the company. c. Reducing the par value of the share by returning a part of it to the shareholder or by releasing them from all or part of the unpaid amount of the share's value. d. The company purchasing a number of its shares equivalent to the amount to be reduced, and then canceling them.

Article One Hundred and Thirty-Four: Issuing a Resolution to Reduce Capital

The extraordinary general assembly may decide to reduce the capital if it exceeds the company's needs or if the company has incurred losses. In the latter case only, the capital may be reduced below the limit stated in Article Fifty-Nine of the Law. The reduction resolution shall not be issued until after a statement prepared by the board of directors on the reasons for the reduction, the company's obligations, and the effect of the reduction on fulfilling them is read at the general assembly. This statement shall be accompanied by a report from the company's auditor. It is sufficient to present the said statement to the shareholders in cases where the general assembly's resolution is issued by circulation.

Article One Hundred and Thirty-Five: Procedures for Capital Reduction

1. If the capital reduction is a result of it exceeding the company's needs, the creditors must be invited to state their objections, if any, to the reduction at least forty-five (45) days before the date set for the extraordinary general assembly meeting to decide on the reduction. The invitation must be accompanied by a statement showing the amount of capital before and after the reduction, the date of the meeting, and the effective date of the reduction. If any of the creditors objects to the reduction and submits their documents to the company on the said date, the company must pay them their debt if it is due or provide them with a sufficient guarantee for its payment if it is deferred. A creditor who has notified the company of their objection to the reduction and whose debt has not been paid if it is due, or for whom a sufficient guarantee has not been provided for its payment if it is deferred, may apply to the competent judicial authority before the date set for the extraordinary general assembly meeting to decide on the reduction. The competent judicial authority may in this case order the payment of the debt or the provision of a sufficient guarantee or postpone the extraordinary general assembly meeting, as the case may be.
2. The reduction shall not be invoked against a creditor who submitted their request on the date stipulated in paragraph (1) of this Article unless what is due of their debt has been paid or they have obtained a sufficient guarantee for the payment of what is not yet due.

Article One Hundred and Thirty-Six: Equality among Shareholders

Equality among shareholders holding shares of the same type and class must be observed when reducing the capital.

Article One Hundred and Thirty-Seven: Reduction by Purchasing the Company's Shares

1. If the capital reduction is by purchasing a number of the company's shares for the purpose of canceling them, the shareholders must be invited to offer their shares for sale, by notifying them of the company's desire to purchase the shares by registered letters to their addresses listed in the register of shareholders, or by announcing the invitation through modern technology means.
2. If the number of shares offered for sale exceeds the number the company has decided to purchase, the sale requests must be reduced in proportion to this excess.
3. The purchase price of the shares of joint stock companies not listed on the financial market is estimated according to the fair value. As for the shares of listed joint stock companies, they are purchased in accordance with the Capital Market Law.

Part Five: Simplified Joint Stock Company

Chapter One: General Provisions

Article One Hundred and Thirty-Eight: Concept of a Simplified Joint Stock Company

1. The provisions of a joint stock company shall apply to a simplified joint stock company in matters for which no special provision is made in this Part, and in a manner consistent with its nature, with the exception of Articles Sixty-One, Sixty-Three, from Sixty-Seven to Seventy-One, from Seventy-Four to Eighty-Eight, from Ninety to Ninety-Four, Ninety-Five(1), from Ninety-Six to Ninety-Eight, One Hundred, One Hundred and One, One Hundred and Eleven(2), One Hundred and Twenty-One, and One Hundred and Twenty-Two.
2. The shareholders in a simplified joint stock company may regulate the company's structure and its method of operation in the company's bylaws.
3. The shareholders shall replace the ordinary and extraordinary general assembly of a joint stock company, within the scope of the provisions that apply to a simplified joint stock company. The shareholders may determine who undertakes those competencies in the company's bylaws, in matters for which no special provision is made in this Part.
4. The chairman, manager, or board of directors of a simplified joint stock company, as the case may be, shall exercise all the competencies assigned to the chairman and members of the board of directors of a joint stock company and shall replace them, in matters for which no special provision is made in this Part.

Article One Hundred and Thirty-Nine: Capital of a Simplified Joint Stock Company

1. The company's bylaws shall specify the amount of its issued capital and the value paid up thereof. It may be stipulated therein that it shall have an authorized capital.
2. The minimum capital requirement for a joint stock company shall not apply to a simplified joint stock company.

Chapter Two: Formation of a Simplified Joint Stock Company

Article One Hundred and Forty: Company's Bylaws Information

1. The bylaws of a simplified joint stock company must specifically include the following information: a. The company's name. b. The company's head office. c. The company's purpose. d. The company's authorized capital, if any, issued capital, and paid-up capital. e. The number of shares, their types and classes, if any, the par value, and the rights attached to each type or class. f. The company's duration, if any. g. The company's management and the provisions related thereto. h. The assignment of shares. i. Shareholders' meetings and the quorum required for their validity. j. Shareholders' resolutions and the quorum required for their issuance. k. The start and end date of the financial year. l. Any other provisions, conditions, or data that the founders or shareholders agree to include in the company's bylaws and that do not conflict with the provisions of the Law.
2. The following must be attached to the bylaws when submitting the application for the company's formation: a. The names of the founders, their addresses, and nationalities. b. A statement of the expected business and expenses for the company's formation. c. A declaration by the founders of their subscription to all the company's shares and the value paid up thereof. d. A certificate of deposit of the paid-up amount of the issued capital with one of the licensed banks in the Kingdom. e. A resolution from the founders appointing the company's chairman, manager, or board of directors, as the case may be, including their names, nationalities, addresses, and dates of birth. f. A declaration by the founders of their commitment to all the requirements of the Law related to the company's formation. g. A statement or report prepared by one or more accredited valuers showing the fair value of the in-kind contributions (if any), and a declaration from the other founders of their approval of the consideration determined for them.

Article One Hundred and Forty-One: Valuation of In-Kind Contributions

1. If in-kind contributions are made at the time of the company's formation or upon a capital increase, and their total value does not exceed one-half (1/2) of the company's capital, they do not need to be valued by an accredited valuer, unless the founders or shareholders agree otherwise.
2. If the value of the in-kind contributions made at the time of the company's formation or a capital increase exceeds one-half (1/2) of its capital, they must be valued by one or more

accredited valuers. The valuer shall prepare a report showing the fair value of these contributions. This report shall be presented to the founders or shareholders for deliberation. The providers of the in-kind contributions may not participate in the voting on the resolution regarding the report prepared about them. If the founders or shareholders decide to reduce the consideration determined for the in-kind contributions, the consent of the providers of those contributions to this reduction must be obtained.

3. The period between the issuance of the accredited valuer's report estimating the fair value of the in-kind contributions and the issuance of shares in exchange for those contributions must not exceed the period specified by the Regulations.
4. If the in-kind contributions are not valued by an accredited valuer in accordance with the provision of this Article, or if they are valued otherwise than by the estimate of the appointed accredited valuer, the founders or shareholders shall be personally liable with all their assets towards third parties for the fairness of the valuation of these contributions and for paying the difference in cash to the company. A lawsuit in this case shall not be heard after the lapse of five (5) years from the date of the company's registration with the Commercial Register or its capital increase, as the case may be.

Chapter Three: Management of a Simplified Joint Stock Company

Article One Hundred and Forty-Two: Method of Company Management

1. The method of managing a simplified joint stock company shall be determined in its bylaws. It may be managed by a chairman, one or more managers, a board of directors, or otherwise. The bylaws shall specify the method of appointing the person who will manage it, their removal, the limits of their powers and authorities, and their method of work. If the company's bylaws are silent on provisions in this regard, the shareholders shall undertake this.
2. The chairman, manager, or board of directors of a simplified joint stock company, as the case may be, shall have the broadest powers in managing the company to achieve its purposes, except for what is excluded by a special provision in the Law or the company's bylaws of acts or dispositions that fall within the competence of the shareholders. The chairman or manager, within the limits of their competencies, may delegate a third party to carry out a specific act or more. The board of directors, within the limits of its competencies, may delegate one or more of its members or a third party to carry out a specific act or more.
3. The chairman, manager, or chairman of the board of directors of a simplified joint stock company, as the case may be, shall represent the company before the judiciary, arbitration bodies, and third parties. They may delegate another to represent it if its bylaws so provide.
4. A simplified joint stock company is bound by all acts and dispositions carried out by the chairman, manager, or board of directors, as the case may be, in its name, even if they are outside their competencies, unless the person dealing with them was acting in bad faith or knew that those acts and dispositions were outside their competencies.

Article One Hundred and Forty-Three: Management Responsibilities

The provisions related to the responsibility of the board of directors of a joint stock company shall apply to the chairman, manager, or board of directors of a simplified joint stock company, as the case may be.

Article One Hundred and Forty-Four: Granting of Loans

The provision of Article Seventy-Two of the Law shall apply to the chairman, manager, or board of directors of a simplified joint stock company, as the case may be.

Chapter Four: Shareholders

Article One Hundred and Forty-Five: Shareholders' Meeting

1. The bylaws of a simplified joint stock company shall specify the matters that must be presented to the shareholders for a decision, in the form and under the conditions specified in the said bylaws. However, decisions falling within the competencies of the ordinary or extraordinary general assembly of a joint stock company regarding a capital increase or reduction, the company's conversion to another form, its merger, division, or dissolution, the appointment of an auditor, the discussion of financial statements, the distribution of profits, or the amendment of the company's bylaws must be taken by the shareholders.
2. The company's bylaws shall specify the quorum required for the validity of shareholders' meetings and the issuance of their resolutions.
3. The company's bylaws may specify different quorums for specific matters when they are presented to the shareholders for a decision.
4. The company's bylaws shall specify the matters for which a resolution requires the unanimous approval of the shareholders.

Article One Hundred and Forty-Six: Calling for a Shareholders' Meeting

1. Without prejudice to the company's bylaws, the meetings of the shareholders in a simplified joint stock company shall be held at the invitation of its chairman, manager, or board of directors, as the case may be, in accordance with the procedures specified by the company's bylaws. The invitation for a shareholders' meeting may be made at the request of the auditor, if any, or a shareholder or more representing at least ten percent (10%) of the company's shares with voting rights.
2. The invitation to the meeting shall be sent to all shareholders at least five (5) days before the date set for it, including the place, date, and time of the meeting, and shall be accompanied by the agenda including the items on which the shareholders are required to vote. The invitation may specify the place, date, and time of the second meeting, in case the quorum required for the first meeting is not met.

3. The shareholders shall be notified of the invitation by registered letters sent to their addresses listed in the register of shareholders, or through modern technology means, unless the company's bylaws provide otherwise.
4. If the invitation to the shareholders' meeting is sent to consider the matters stipulated in paragraph (1) of Article One Hundred and Forty-Five of the Law, every shareholder has the right to obtain and review the information and documents related to them, at any time during the five (5) days preceding the date set for the meeting, unless the company's bylaws provide for a longer period.
5. Shareholders' meetings shall be held at the company's head office or any other place they determine. They may be held via modern technology means.
6. Shareholders representing all the company's shares with voting rights may hold their meeting without observing the procedures and periods prescribed for the invitation.

Article One Hundred and Forty-Seven: Financial Statements and Report on the Company's Activity

The chairman, manager, or board of directors of a simplified joint stock company, as the case may be, must, at the end of each financial year of the company, prepare the company's financial statements and a report on its activity and financial position for the past financial year. This report shall include the proposed method for distributing profits, if any. These documents and the auditor's report, if any, shall be presented to the shareholders within six (6) months from the end of the company's financial year. They must also deposit these documents as specified by the Regulations.

Article One Hundred and Forty-Eight: Minutes of Shareholders' Meetings

1. The deliberations of the shareholders' meeting and their resolutions, or the resolutions issued by circulation, shall be recorded in minutes entered in a special register signed by the company's chairman, manager, or board of directors, as the case may be. The company may use modern technology means to record and document the deliberations and resolutions.
2. The company's chairman, manager, or board of directors, as the case may be, must register with the Commercial Register the shareholders' resolutions specified by the Regulations within fifteen (15) days from the date of their issuance.

Article One Hundred and Forty-Nine: Issuing a Resolution by Circulation

1. The company's bylaws may provide for the issuance of a shareholders' resolution by circulating it to them without the need for them to meet. In this case, the company's chairman, manager, or board of directors, as the case may be, shall send the proposed resolution and the documents related to it to all shareholders, with a statement of what the shareholder must follow to approve it and the date by which it must be issued.
2. Unless the company's bylaws provide for another means of notification, the proposed resolution and its related documents may be sent by any of the following means: a. Sending them to the shareholders by registered letters. b. Personal delivery to the

shareholders or their legal representatives. c. Sending them by email or any modern technology means.

3. The company's bylaws shall specify the quorum required for the validity of issuing shareholders' resolutions by circulation.

Article One Hundred and Fifty: Single-Shareholder Simplified Joint Stock Company

In the case of the formation of a simplified joint stock company by a single person, or if all its shares devolve to a single person, the following shall result: a. The liability of this person is limited to the assets they have allocated to be the company's capital. b. They shall have the powers and authorities of the shareholders stipulated in this Part. Their resolutions shall be issued in writing and recorded in a special register with the company.

Article One Hundred and Fifty-One: Restrictions on the Disposal of Shares

The company's bylaws may provide for restrictions on the disposal of shares related to the following: a. Prohibiting their disposal for a period not exceeding ten (10) years from the date of their issuance. This period may be extended with the unanimous consent of the shareholders. b. Requiring the approval of the company or the shareholders before their disposal. Any disposal of shares that occurs in violation of those restrictions shall be void.

Article One Hundred and Fifty-Two: Obligation to Assign Shares

The company's bylaws may provide for conditions obliging a shareholder to assign their shares. The purchase price of the shares shall be estimated according to the fair value, unless the company's bylaws provide otherwise. The company's bylaws may provide for the suspension of the rights attached to that shareholder's shares, except for the financial rights, until they assign them.

Article One Hundred and Fifty-Three: Dispute Settlement

Except for criminal acts, the company's bylaws may provide for the settlement of disputes or disagreements of any nature that may arise between the shareholders or between the company and its chairman, manager, or any of the members of its board of directors, as the case may be, by resorting to arbitration or other alternative means of settlement.

Article One Hundred and Fifty-Four: Unanimity of Shareholders

The unanimous approval of the shareholders is required to include in the company's bylaws the provisions of Articles One Hundred and Fifty-One, One Hundred and Fifty-Two, and One Hundred and Fifty-Three of the Law, and for any amendment made to any of them.

Article One Hundred and Fifty-Five: Implementation of the Provisions of this Part

The Regulations shall specify the necessary provisions for implementing what is stated in this Part.

Part Six: Limited Liability Company

Chapter One: General Provisions

Article One Hundred and Fifty-Six: Definition of a Limited Liability Company

A limited liability company is a company established by one or more natural or legal persons, and its liability is independent of the financial liability of each partner in it or its owner. The company alone is responsible for the debts and obligations arising from it or from its activity, and its owner or the partner in it is not responsible for these debts and obligations except to the extent of their contribution to the capital.

Article One Hundred and Fifty-Seven: Single-Owner Limited Liability Company

1. In the case of the formation of a limited liability company by a single person, or if all its contributions devolve to a single person, the following shall result: a. This person shall have the powers and authorities of the manager, the board of managers of the company, and the general assembly of the partners stipulated in this Part. Their resolutions shall be issued in writing and recorded in a special register with the company. b. This person may appoint one or more managers who shall be the representative of the company before the judiciary, arbitration bodies, and third parties, and shall be responsible for its management before the partner who owns the company's contributions.
2. A limited liability company owned by a single person shall have bylaws. Any reference to the articles of incorporation in the provisions that apply to a limited liability company shall mean the company's bylaws.

Chapter Two: Formation of a Limited Liability Company

Article One Hundred and Fifty-Eight: Articles of Incorporation Information

1. The articles of incorporation of a limited liability company must specifically include the following information: a. The names of the partners and their details. b. The company's name. c. The company's head office. d. The company's purpose. e. The capital and its distribution among the partners. f. A declaration by the partners of their fulfillment of the value of the contributions. g. The company's duration, if any. h. The company's management. i. The assignment of contributions. j. The means of sending notifications

that the company may send to the partners. k. The partners' resolutions. l. The method of distributing profits and losses among the partners. m. The start and end date of the financial year. n. The dissolution of the company. o. Any other provisions, conditions, or data that the partners agree to include in the company's articles of incorporation and that do not conflict with the provisions of the Law.

2. The following must be attached to the articles of incorporation when submitting the application for the company's formation: a. A declaration by the founders of their commitment to all the requirements of the Law related to the company's formation. b. A statement or report prepared by one or more accredited valuers showing the fair value of the in-kind contributions, if any, and a declaration from the other founders of their approval of the consideration determined for them.

Article One Hundred and Fifty-Nine: Valuation of In-Kind Contributions

The provisions stipulated in Article One Hundred and Forty-One of the Law shall be followed in the valuation of in-kind contributions.

Chapter Three: Management of a Limited Liability Company

Article One Hundred and Sixty: Appointment of the Company's Manager

The company is managed by one or more managers from among the partners or from others. The partners appoint the manager or managers in the company's articles of incorporation or in a separate contract, for a specified or unspecified period. The partners may, by a resolution, form a board of managers if there are multiple managers.

Article One Hundred and Sixty-One: Method of Company Management

The company's articles of incorporation or the partners' resolution shall determine the method of managing the company and the majority required for issuing resolutions upon the appointment of more than one manager or the formation of a board of managers.

Article One Hundred and Sixty-Two: Representation of the Company and its Commitment to the Manager's Acts

1. The manager of a limited liability company shall represent it before the judiciary, arbitration bodies, and third parties. They may delegate a third party in some of their powers to carry out a specific act or acts.
2. Any resolution issued to appoint, change, or restrict the powers of the manager shall not be effective against a third party until after it is registered with the Commercial Register.
3. The company is bound by the manager's acts that fall within the company's purpose.

Article One Hundred and Sixty-Three: Vacancy in the Manager's Position

If a limited liability company has a single manager, the partners must, in the event of a vacancy in their position, appoint a new manager for the company within fifteen (15) days from the date of becoming aware of it. The company's auditor, if any, or any of the partners has the right to invite the general assembly to convene to appoint a new manager for the company.

Article One Hundred and Sixty-Four: Removal of the Manager

1. The partners may remove the manager or managers, whether they were appointed in the company's articles of incorporation or in a separate contract. The partners must appoint one or more managers to succeed those who have been removed. If the manager is a partner in the company, they may not participate in the voting on the resolution related to their removal.
2. A partner or more representing at least one-quarter (1/4) of the company's capital may apply to the competent judicial authority to request the removal of the manager or managers.

Article One Hundred and Sixty-Five: General Assembly

1. A limited liability company shall have a general assembly composed of all the partners.
2. The general assembly of the partners shall convene at the invitation of the manager or managers in accordance with the procedures specified by the company's articles of incorporation, provided that it convenes at least once a year during the six (6) months following the end of the company's financial year.
3. The general assembly of the partners may be invited at any time at the request of the managers, the auditor, or at the request of a partner or more representing at least ten percent (10%) of the capital. The invitation shall be sent to all partners by registered letters, through modern technology means, or by any other means stipulated in the articles of incorporation, at least twenty-one (21) days before the date set for the general assembly meeting.
4. Partners representing all the contributions of the company's capital may hold a general assembly without observing the procedures and periods prescribed for the invitation.
5. The deliberations of the general assembly of the partners and their resolutions, or the partners' resolutions by circulation, shall be recorded in minutes entered in a special register prepared by the company for this purpose. The company may use modern technology means to record and document the deliberations and resolutions.
6. The meetings of the general assembly of the partners may be held and a partner may participate in the deliberations and vote on the resolutions through modern technology means.

Article One Hundred and Sixty-Six: Issuing Partners' Resolutions

1. Partners' resolutions are issued in the general assembly. However, partners' resolutions may be issued by circulating them without the need for the general assembly to

- convene. In this case, the company's manager shall send to each partner the proposed resolutions and the documents related to them for the partner to vote on them in writing.
2. Unless the company's articles of incorporation provide for another means of notification, the proposed resolutions and their related documents may be sent by any of the following means: a. Sending them to the partners by registered letters. b. Personal delivery to the partners or their legal representatives. c. Sending them by email or by any modern technology means.
 3. In all cases, the resolutions are not valid unless approved by a partner or more representing at least more than one-half ($1/2$) of the capital, unless the company's articles of incorporation provide for a larger majority.
 4. If the majority stipulated in paragraph (3) of this Article is not met in the first deliberation or consultation, the partners must be invited to a meeting. Resolutions in this case are issued with the approval of a majority of the contributions represented therein, regardless of the percentage they represent in the capital, unless the company's articles of incorporation provide otherwise.
 5. The company's articles of incorporation may specify any other method for calling the meeting or for notifying of the resolutions.

Article One Hundred and Sixty-Seven: Financial Statements and Report on the Company's Activity

1. The company's manager shall, for each financial year, prepare the company's financial statements and a report on its activity and financial position for the past financial year, and their proposals regarding the distribution of profits, if any. The manager shall make these documents available to the auditor, if any, at least forty-five (45) days before the date set for the general assembly at its annual meeting.
2. The company's manager must provide the partners with the company's financial statements, a report on its activity, and the auditor's report, if any, whether through modern technology means or by any other means stipulated in the company's articles of incorporation, at least twenty-one (21) days before the date set for the annual general assembly meeting. They must also deposit these documents as specified by the Regulations.

Article One Hundred and Sixty-Eight: Agenda of the Partners' General Assembly

The agenda of the partners' general assembly at its annual meeting must include the following items: a. Reviewing the report of the company's manager on the company's activity and financial position for the past financial year. b. Reviewing and discussing the financial statements for the past financial year. c. Discussing the auditor's report for the past financial year, if any, and making a decision thereon. d. Deciding on the proposal of the company's manager regarding the distribution of profits, if any.

Article One Hundred and Sixty-Nine: Matters Included in the Agenda

1. The partners' general assembly may not deliberate on matters other than those on the agenda unless facts arise during the meeting that require deliberation. However, if a partner requests the inclusion of a specific matter on the agenda, the company's manager must grant the request; otherwise, the partner has the right to refer to the assembly.
2. Every partner has the right to discuss the topics on the agenda of the partners' general assembly. The company's manager is obliged to answer the partners' questions. If a partner believes that the response to their question is insufficient, they shall refer to the assembly.

Article One Hundred and Seventy: Objecting to a General Assembly Resolution

1. Without prejudice to the rights of a third party acting in good faith, every partner may apply to the competent judicial authority to request the annulment of a resolution of the partners' general assembly issued in violation of the provisions of the Law or the company's articles of incorporation. However, only the partners who objected in writing to the resolution or who were unable to object to it after becoming aware of it may request the annulment of the resolution. The declaration of annulment results in the resolution being considered null and void for all partners.
2. A lawsuit for annulment shall not be heard after the lapse of ninety (90) days from the date the resolution referred to in paragraph (1) of this Article was issued.
3. To file the lawsuit referred to in paragraph (1) of this Article, the plaintiff must be a partner in the company at the time of filing the lawsuit and throughout all its proceedings.

Article One Hundred and Seventy-One: Rights and Obligations of Partners

1. Every partner has the right to participate in the deliberations and in the voting. They shall have a number of votes equal to the number of contributions they own. It is not permissible to agree otherwise.
2. Every partner may, in writing, appoint another partner as a proxy to attend the partners' meetings and vote in them, unless the company's articles of incorporation provide otherwise. The articles of incorporation may provide that a partner may, in writing, appoint whomever they see fit from among non-partners as a proxy to attend the partners' meetings and vote in them.
3. A non-managing partner may offer opinions to the manager. They, or someone they authorize, may request to review the company's business at its head office and examine its records and documents twice during the company's financial year. The company must comply with their request within fifteen (15) days from the date of their request. Any condition to the contrary is void.
4. Anyone who obtains any information based on this Article is obliged to maintain its confidentiality and not to use it for any purpose that may harm the company or one of its

partners, and is obliged to compensate for any damage that arises from non-compliance with this.

Article One Hundred and Seventy-Two: Amendment of the Company's Articles of Incorporation

1. The company's articles of incorporation may be amended, including increasing or reducing its capital, with the approval of a partner or more representing at least three-quarters (3/4) of the capital, unless the articles of incorporation provide for a larger percentage.
2. A partner, upon approval of a capital increase by issuing new contributions, has the pre-emptive right to own the contributions issued in exchange for cash contributions in proportion to what they own in the company's capital, as specified by the Regulations.
3. The capital may not be increased by raising the par value of the partners' contributions or by suspending the pre-emptive right, except with the unanimous consent of the partners.

Article One Hundred and Seventy-Three: Dispute Settlement

Except for criminal acts, the company's articles of incorporation may provide for the settlement of disputes or disagreements of any nature that may arise between the partners or between the company and its managers by resorting to arbitration or other alternative means of settlement.

Chapter Four: Capital and Contributions

Article One Hundred and Seventy-Four: Amount of Capital

The partners shall determine the amount of the company's capital in its articles of incorporation. It shall be divided into contributions of equal value. A contribution is indivisible and non-tradable. If a contribution is owned by multiple persons, the company may suspend the use of the rights attached to it until the owners of the contribution choose from among themselves one who is considered its sole owner towards the company. The company may set a deadline for them for this choice, otherwise, after its expiry, it has the right to sell the contribution for the account of its owners. In this case, the contribution is offered to the other partners, then to third parties, in accordance with what is stated in Article One Hundred and Seventy-Eight of the Law, unless the company's articles of incorporation provide otherwise.

Article One Hundred and Seventy-Five: Distribution of Profits to Partners

1. Contributions confer equal rights in the net profits and in the liquidation surplus, unless the company's articles of incorporation provide otherwise.
2. The general assembly shall determine the percentage of net profits to be distributed to the partners after deducting the reserves, if any.

3. A partner is entitled to their share in the profits according to the resolution of the general assembly or the partners issued in this regard. The resolution shall specify the record date and the distribution date.

Article One Hundred and Seventy-Six: Capital Reduction

1. The partners' general assembly may decide to reduce the capital if it exceeds the company's needs or if it has incurred losses. In the latter case, the reduction resolution shall not be issued until after a statement prepared by the company's manager on the reasons for the reduction, the company's obligations, and the effect of the reduction on fulfilling them is read at the partners' general assembly. This statement shall be accompanied by a report from the company's auditor. It is sufficient to present the said statement to the partners in cases where the partners' resolution is issued by circulation.
2. If the capital reduction is a result of it exceeding the company's needs, every manager in the company must prepare a statement of the company's financial solvency that includes the following: a. That upon examining the company's situation on the date of preparing the statement, they confirm that there is nothing that would make the company unable to pay its debts and obligations. b. That the company is able to pay its debts and obligations that fall due during the twelve (12) months following the date of preparing the statement.
3. Every manager in the company must sign the statement referred to in paragraph (2) of this Article, include the date of its preparation, and provide it to the partners at least fifteen (15) days before the date set for taking the reduction decision.
4. The partners shall submit a draft amendment to the company's articles of incorporation including the company's capital reduction to the Commercial Register within fifteen (15) days from the date the reduction resolution is issued. The documents referred to in paragraphs (1) and (2) of this Article shall be attached, as the case may be. The reduction resolution shall be effective after its registration and publicization with the Commercial Register.

Article One Hundred and Seventy-Seven: Formation of Reserves

1. The company's articles of incorporation may provide for setting aside a certain percentage of the net profits to form a reserve allocated for the purposes specified by the articles of incorporation.
2. The partners, when determining the share of the contributions in the net profits at the annual general assembly meeting, may decide to form reserves, to the extent that serves the company's interest or ensures the distribution of stable profits, as much as possible, to the partners. That assembly may deduct amounts from the net profits to achieve social purposes for the company's employees.

Article One Hundred and Seventy-Eight: Assignment of Contributions

1. A partner may assign their contribution to any of the partners in accordance with the conditions stipulated in the company's articles of incorporation.

2. A partner, if they wish to assign their contribution to someone other than a partner in the company, for consideration or otherwise, must notify the other partners through the company's manager of the name of the assignee or purchaser and the terms of the assignment or sale. The manager must notify the other partners as soon as they receive the notification. Every partner may request to redeem that contribution and pay its value or have the company purchase it within thirty (30) days from the date the manager is notified of the price agreed upon. If more than one partner requests to redeem this contribution or contributions, it shall be divided among them in proportion to each one's contribution to the capital. In case of disagreement over the value of the contribution, its value shall be estimated at the expense of the requesting redeemer or the company, as the case may be, by one or more accredited valuers who shall prepare a report showing the fair value of the contribution of the partner wishing to assign. If the period specified for exercising the right of redemption expires without any of the partners requesting to redeem the contribution, or if the requesting redeemer does not pay its value, or if the company does not purchase it during that period, its owner has the right to assign it to a third party.
3. The company's articles of incorporation may provide for other procedures for notifying of the assignment of the contribution, or for another valuation method, or a longer period for exercising the right of redemption and paying the value, or for the company to purchase it.
4. The right of redemption stipulated in this Article shall not apply to the transfer of ownership of contributions by inheritance, will, or by virtue of a judgment from the competent judicial authority.

Article One Hundred and Seventy-Nine: Issuance of Debt Instruments and Financing Sukuk

1. A limited liability company may issue, in accordance with the Capital Market Law, tradable debt instruments or financing sukuk.
2. Debt instruments or financing sukuk must be issued with the approval of the partners in accordance with the procedures prescribed for amending the company's articles of incorporation.

Article One Hundred and Eighty: Purchase, Pledge, and Mortgage of Contributions

1. The company may purchase or pledge its own contributions if its articles of incorporation so provide. The contributions purchased by the company shall have no votes in the general assembly.
2. Contributions may be mortgaged. The mortgagee creditor has the right to receive the profits, unless otherwise agreed in the mortgage contract.
3. The Regulations shall specify the necessary controls for implementing the provisions of this Article.

Article One Hundred and Eighty-One: Obligation to Sell Contributions

The company's articles of incorporation may, with the approval of a partner or more representing at least ninety percent (90%) of the company's capital, provide for the following: a. That a majority of partners may oblige the minority to accept an offer from a bona fide purchaser to buy all the company's contributions at the same price, terms, and conditions as for the purchase of the majority's contributions. b. That a minority of partners may oblige the majority to ensure the sale of the minority's contributions in cases where the majority sells their contributions at the same price, terms, and conditions as for the sale of the majority's contributions.

Article One Hundred and Eighty-Two: Company's Losses

If the company's losses reach half of its capital, the company's manager must invite the partners' general assembly to meet within sixty (60) days from the date of becoming aware that the loss has reached this amount to consider the continuation of the company while taking any of the necessary measures to address those losses, or its dissolution.

Chapter Five: Dissolution of a Limited Liability Company

Article One Hundred and Eighty-Three: Extension of the Company's Term

1. The term of the company, if it is for a fixed period, may be extended before its expiry for another period by a resolution issued by the partners' general assembly from any number of partners owning half of the contributions representing the capital, unless the company's articles of incorporation provide for a larger majority.
2. If a resolution to extend the company's term is not issued and it continues to carry out its business, its term is extended for a similar period under the same conditions contained in its articles of incorporation.
3. A partner who does not wish to continue in the company may exit from it. Their contributions shall be valued in accordance with the provisions contained in Article One Hundred and Seventy-Eight of the Law. The extension shall not be effective until after the sale of this partner's contribution to the partners or a third party, as the case may be, and the payment of its value to them, unless the withdrawing partner agrees otherwise with the other partners.
4. A third party who has an interest in not extending the term may object to it and insist on its non-enforceability against them.

Article One Hundred and Eighty-Four: Cases of Dissolution

A limited liability company is not dissolved by the death of a partner, nor by their being placed under guardianship, nor by the initiation of any of the liquidation procedures against them in accordance with the Bankruptcy Law, nor by their insolvency, nor by their withdrawal, unless the company's articles of incorporation so provide.

Part Seven: Non-Profit Company

Article One Hundred and Eighty-Five: Definition of a Non-Profit Company

1. A public non-profit company is a company that takes the form of a joint stock company and may not take any other form. The profits realized from the practice of its activity are spent on any of the public non-profit outlets and fields that aim exclusively to serve the community at large. The Ministry, in coordination with the National Center for Non-Profit Sector Development, shall determine those outlets and fields.
2. A private non-profit company is a company that takes the form of a limited liability company, a joint stock company, or a simplified joint stock company and may not take any other form. The profits realized from the practice of its activity are spent on any of the non-profit outlets and fields.
3. A non-profit company is prohibited from offering its shares for public subscription.
4. The provisions related to the form of the company it takes shall apply to a non-profit company in matters for which no provision is made in this Part, and in a manner that does not conflict with its nature.

Article One Hundred and Eighty-Six: Outlets and Fields of a Non-Profit Company

1. For the approval of the formation of a public non-profit company, it is required to stipulate in its bylaws the public non-profit outlets and fields. A private non-profit company may stipulate in its articles of incorporation or bylaws any non-profit outlets and fields.

Subject to the relevant regulations, a non-profit company may obtain monetary or in-kind returns in exchange for its business, products, and services, and may engage in any legitimate activity that enables it to generate profits, which it shall spend on the purposes and areas stipulated in its articles of incorporation or bylaws.

Article One Hundred Eighty-Seven: Effectiveness of a Resolution to Amend the Bylaws of a Public Non-Profit Company:

If a resolution to amend the bylaws of a public non-profit company includes an amendment to the provisions on the disposition of assets, an amendment to the powers of the board of directors, or the company's purposes and areas, such amendment shall not be effective until the Ministry's approval is obtained.

Article One Hundred Eighty-Eight: Membership in the Company:

- Every partner or shareholder in a non-profit company shall be a member.
- The articles of incorporation or bylaws of a non-profit company may provide for the following: a- Defining the classes, conditions, and provisions of membership therein. b-

Defining the powers of membership classes, the matters requiring the approval of the members' special assembly, and the quorum required therefor, including the right to supervise the director or the board of directors and to verify that the company's profits are spent on achieving its objectives in the purposes and areas stipulated in its articles of incorporation or bylaws. c- Granting a specific class of members the right to vote on the company's resolutions in a special assembly. d- Granting a specific class of members the right to appoint one or more of the company's directors or members of the board of directors, in which case they may only be removed by the class that appointed them. e- Issuing non-transferable membership certificates. As an exception, it may be stipulated that a member of a private non-profit company may waive their membership. f- Requiring the payment of annual fees or monetary or in-kind contributions by one or more classes of membership of the non-profit company. g- Requiring the provision of work or service to the company to obtain its membership.

- The Ministry may regulate aspects related to membership in non-profit companies.

Article One Hundred Eighty-Nine: Member's Rights and Obligations:

Each class of membership shall entail equal rights and obligations, and the member shall have all rights related to their membership, including the right to participate in the deliberations of members' assemblies and the right to access the company's records and documents.

Article One Hundred Ninety: Termination of Membership in the Company:

Subject to the provisions of the Law and the non-profit company's articles of incorporation or bylaws, membership in a non-profit company shall terminate in the following cases: a- Death, or cessation of legal personality. b- Waiver of membership in a private non-profit company to a third party. c- Cancellation in accordance with the provisions of the company's articles of incorporation or bylaws. d- Expiration of the membership term without renewal. e- Dissolution of the company.

Article One Hundred Ninety-One: Request to Terminate Membership:

A member may request to terminate their membership, provided that they shall be liable to compensate the company if such termination results in a breach of their obligations towards it.

Article One Hundred Ninety-Two: Company Register and Provision of Data to the Commercial Registry:

1. Members' data shall be recorded in a special register prepared by the non-profit company for this purpose.
2. The company shall provide the Commercial Registry with the data of the register referred to in paragraph (1) of this Article, and any amendment thereto, within fifteen (15) days from the date of the company's registration with the Commercial Registry or from the date of the amendment, as the case may be.

Article One Hundred Ninety-Three: Acceptance of Donations, Bequests, and Endowments:

Subject to the provisions of the relevant regulations and the company's bylaws, a public non-profit company may accept, manage, or invest monetary and in-kind donations, bequests, and endowments, and spend from their proceeds in accordance with the conditions of the donor, testator, or endower, if any. If the company wishes to amend or be released from these conditions, and it is unable to obtain the approval of the donor, testator, or endower due to their death, incapacity, or absence, it may apply to the competent judicial authority for such purpose. The competent judicial authority shall decide on the application in a manner it deems to fulfill the condition of the donor, testator, or endower.

Article One Hundred Ninety-Four: Company Profits:

- A non-profit company shall spend the profits generated from its activities on the purposes and areas stipulated in its articles of incorporation or bylaws. The company may allocate some of its profits to develop its investments and expand its business as specified by the Regulations.
- A non-profit company is prohibited from distributing any of its profits to any of its members, directors, board members, or employees, unless it is included in the purposes and areas of the non-profit company. The Regulations shall specify the maximum percentage of profits that may be distributed in accordance with this paragraph.
- A non-profit company may pay reasonable remuneration or other benefits to its directors, board members, or employees in exchange for the services and work they provide to the company.
- Any member of a non-profit company may file a lawsuit before the competent judicial authority on behalf of the company to demand the recovery of any profits distributed or disbursed in violation of the provisions of this Article.
- e- A personal creditor of any member of a public non-profit company may not seek enforcement against that member's shares or the rights attached thereto.

Article One Hundred Ninety-Five: Establishment of Non-Profit Companies by Public Entities and their Employees:

1. Subject to the relevant regulations and resolutions, non-profit companies may be established by government agencies, public authorities and institutions, universities, and other public legal persons permitted to do so.
2. Public sector employees may establish or participate in the establishment of public non-profit companies.

Article One Hundred Ninety-Six: Exemptions:

Notwithstanding the relevant regulations, the Zakat, Tax and Customs Authority, in coordination with the Ministry, shall establish the necessary controls for exempting non-profit companies from

the provisions of Zakat collection and taxes, and for deducting donations made to these companies when determining the taxpayer's tax base.

Chapter Eight: Professional Company

Article One Hundred Ninety-Seven: Definition of a Professional Company:

A professional company is a company established by one or more persons legally licensed to practice one or more liberal professions, or by them with others, for the purpose of practicing such professions.

Article One Hundred Ninety-Eight: Form of a Professional Company:

A professional company may take any of the company forms set forth in Article (4) of the Law.

Article One Hundred Ninety-Nine: Application of Provisions Specific to the Company's Form:

1. A professional company shall be subject to the provisions specific to the form of company it takes, in matters for which no special provision is made in this Chapter, and in a manner that does not conflict with its nature.
2. A partner or shareholder in a professional company, regardless of its form, shall not acquire the status of a merchant by virtue of their partnership or ownership of shares or stocks in the company.

Article Two Hundred: Establishment of a Professional Company:

- Persons licensed to practice one liberal profession may establish among themselves a professional company in any of the forms set forth in Article (4) of the Law.
- A person licensed to practice one liberal profession may establish a joint stock, simplified joint stock, or one-person limited liability professional company to practice their profession through it. If licensed to practice more than one liberal profession, they may practice all or some of them through the company, after fulfilling the conditions and controls specified by the Regulations.
- A professional company may be established by persons licensed to practice more than one liberal profession. A professional company may also be established as a partnership between persons licensed to practice one or more liberal professions and a non-Saudi professional company. The Regulations shall specify the special conditions for establishing these companies and the controls regulating their activities.
- A natural person not licensed to practice the liberal profession(s) that are the subject of the company's activity, or a legal person, may be a partner or shareholder in a professional company—other than as a general partner in a general partnership or limited partnership. The Regulations shall specify the special conditions and controls for this and the general rules for the management of this type of professional company in a

manner that preserves the independence of the professional partners or shareholders in the practice of their professions.

Article Two Hundred One: Participation in More Than One Company:

A partner or shareholder in a professional company who practices a liberal profession may not participate or be a shareholder in another professional company that practices the same liberal profession, unless the company's articles of incorporation or bylaws so provide, and without prejudice to the relevant regulations. The Regulations shall specify the provisions and controls under which a licensed partner or shareholder may participate or be a shareholder in another professional company.

Article Two Hundred Two: Establishment and Dissolution of a Professional Company:

1. A professional company shall be established in accordance with the incorporation procedures prescribed for its form.
2. The partners or shareholders of a professional company may not dissolve it until after announcing such dissolution and notifying in writing all those dealing with it, in accordance with the procedures specified by the Regulations.

Article Two Hundred Three: Practice of the Profession:

A professional company shall not practice the liberal profession(s) that are the subject of its activity except through its licensed partners or shareholders. However, it may engage other persons licensed to practice the profession(s) that are the subject of its activity, provided that they are subject to the company's supervision and responsibility.

Article Two Hundred Four: Company Activities:

1. A professional company shall only engage in the liberal profession(s) that are the subject of its activity.
2. A professional company may not engage in commercial business. However, it may own real estate assets and invest its funds in real estate, securities, or any other type of investment to serve its purposes. The Regulations shall specify the controls for this.

Article Two Hundred Five: Supervision of the Company:

1. A professional company, in the practice of the liberal profession(s) that are the subject of its activity, shall be subject to the supervision of the authority or authorities legally concerned with supervising the practice of such professions.
2. A professional company shall comply with the provisions of the regulations and rules established by the concerned authority or authorities in accordance with their jurisdiction.
3. The concerned authority may access and inspect the records and documents of the professional company within the limits of its jurisdiction to verify its compliance with the provisions of the regulations related to the liberal profession that is the subject of its

activity, and the professional company shall be obligated to provide what is requested of it.

Article Two Hundred Six: Practice of the Liberal Profession by a Partner or Shareholder:

1. A partner or shareholder in a professional company may not practice their liberal profession except through it, unless it is a one-person company.
2. Notwithstanding paragraph (1) of this Article, a partner or shareholder may practice their liberal profession through a means other than the company if the other partners agree in writing or if the general assembly's approval is obtained, as the case may be.
3. If a partner or shareholder breaches the provisions of paragraphs (1) or (2) of this Article, any fees and other financial benefits they receive shall be the right of the company.

Article Two Hundred Seven: Management of the Company:

1. Without prejudice to paragraph (2) of this Article, a professional company shall be managed by one or more of its partners or by others. If it is managed by one person, that person must be one of the licensed partners. If it is managed by more than one person, the number of licensed partners may not be less than the number specified by the Regulations. The company's articles of incorporation or bylaws shall specify the conditions for the appointment of the director, their powers, remuneration, term of management, and method of removal.
2. A professional joint stock company shall be managed by a board of directors composed of its shareholders or others. The Regulations shall specify the number of board members who must be licensed shareholders. The company's bylaws shall specify the powers of the board and the provisions related to its formation.

Article Two Hundred Eight: Independence of Partners or Shareholders:

The authority of the director or the board of directors of a professional company owned by more than one person may not include anything that prejudices the independence of the partners or shareholders in the practice of their liberal professions.

Article Two Hundred Nine: Liability for Errors:

1. Each partner or shareholder in a professional company shall be personally liable for their professional errors towards the company and the other partners or shareholders, as the case may be.
2. The professional company shall be liable for compensating for damage sustained by third parties due to the professional errors of its partners, shareholders—as the case may be—or its employees.

Article Two Hundred Ten: Insurance Coverage for Professional Errors:

The Minister may, by a decision from him, make the practice of certain activities or transactions by a professional company conditional upon obtaining insurance coverage for professional errors, after coordination with the authority or authorities legally concerned with supervising the practice of the profession.

Article Two Hundred Eleven: Loss of License to Practice the Liberal Profession:

1. If a partner or shareholder in a professional company temporarily loses their license to practice their liberal profession, they shall immediately refrain from working in the company until the license is restored. If they are the sole practitioner of that profession among the other partners or shareholders, or the sole owner of the professional company, the company must cease practicing the profession until the license is restored. The company's articles of incorporation or bylaws shall specify how its profits and losses are to be distributed upon the occurrence of either of these two cases, with respect to a professional company not owned by a single person.
2. If a partner or shareholder in a professional company permanently loses their license to practice their liberal profession, they shall be deemed to have withdrawn from the company, unless the company's articles of incorporation or bylaws provide for their continuation as a non-licensed partner or shareholder to practice the profession in the company, provided that the conditions, controls, and rules referred to in paragraph (4) of Article (200) of the Law are met.
3. If a partner or shareholder in a professional company permanently loses their license to practice their liberal profession and they were the sole practitioner of that profession among the partners or shareholders, or if the professional company was owned by a single person, or if the death of a partner or shareholder in a professional company or the waiver of their share or stocks results in the company losing the sole practitioner of a liberal profession among its partners or shareholders, the company must cease practicing that profession. In this case, it shall be granted a period of six (6) months to rectify its status in accordance with the provisions of the Law. The Minister may extend this period for a similar period if he deems it in the interest to do so. The company shall be dissolved upon the expiration of the period without rectifying its status.

Article Two Hundred Twelve: Death of a Partner or Shareholder:

1. If a partner in a professional limited liability company or a shareholder in a professional joint stock company or a professional simplified joint stock company dies, their share or stocks, as the case may be, shall devolve to their heirs, unless the company's articles of incorporation or bylaws provide otherwise.
2. If a partner in a professional general partnership dies, the company shall continue among the remaining partners, and their share shall belong to their heirs. The value of the deceased partner's share shall be appraised by one or more accredited valuers who shall prepare a report showing the fair value of each partner's share in the company's

assets on the date of the partner's death. The heirs shall have no share in what accrues thereafter except to the extent that such rights result from operations prior to the death of their decedent.

3. It may be stipulated in the articles of incorporation of a professional general partnership or in a special agreement between the heirs of the deceased partner and the remaining partners in the company that the heirs of the deceased partner shall replace their decedent as partners in the company by converting it into a limited partnership, a joint stock company, a simplified joint stock company, or a limited liability company. In the event of converting the company into a limited partnership, the heirs shall have the status of a limited partner.
4. If a partner in a professional limited partnership dies, their share shall devolve to their heirs, unless the company's articles of incorporation provide otherwise. In the event of their participation in the company, the heirs shall have the status of a limited partner.

Article Two Hundred Thirteen: Transfer of Shares or Stocks to Heirs:

1. The conditions, controls, and rules referred to in paragraph (4) of Article (200) of the Law shall apply to the shares or stocks that are transferred from the deceased partners or shareholders in the professional company to their heirs.
2. If any of the heirs is licensed to practice the profession or any of the professions that are the subject of the company's activity, this heir may be a partner or shareholder practicing their profession through the company if the majority of the partners agree or if the approval of the general assembly is obtained. If they do not agree, the heir shall be a non-practicing partner or shareholder, and in this case, they may practice their profession through a means other than the company, notwithstanding the provision of Article (206) of the Law.
3. Notwithstanding the provision of Article (201) of the Law, if any of the heirs is a partner or shareholder practicing the profession in another professional company that practices the same liberal profession, they may own the inherited shares or stocks as a non-practicing partner or shareholder.

Article Two Hundred Fourteen: Interdiction, Insolvency, or Initiation of Liquidation Proceedings against a General Partner:

The articles of incorporation of a professional general partnership and a professional limited partnership shall specify the consequences of the interdiction of a general partner, their insolvency, or the initiation of any liquidation proceedings against them in accordance with the Bankruptcy Law.

Article Two Hundred Fifteen: Transformation of a Professional Company:

The partners or shareholders in a professional company may transform it into another form of company set forth in Article (4) of the Law, after fulfilling the conditions and controls stipulated in the Law and the Regulations.

Chapter Nine: Holding Company and Subsidiary Company

Article Two Hundred Sixteen: Holding Company:

A holding company is a joint stock company, a simplified joint stock company, or a limited liability company that establishes companies or owns shares or stocks in existing companies that become its subsidiaries.

Article Two Hundred Seventeen: Subsidiary Company:

A company is considered a subsidiary of a holding company in any of the following cases: a- If the holding company is a partner or shareholder owning shares or stocks in the capital of the subsidiary company that grant it a majority of the voting rights therein. b- If the holding company, as a partner or shareholder, solely controls the appointment of the director or the majority of the board of directors, or has the power to remove the director or the majority of the board members. c- If the holding company, as a partner or shareholder, solely controls the majority of the voting rights, based on an agreement with the other partners or shareholders. d- If the subsidiary company is a subsidiary of a subsidiary of the holding company.

Article Two Hundred Eighteen: Ownership of Shares or Stocks in the Holding Company:

1. A subsidiary company may not own shares or stocks in the holding company. Any disposition that would transfer ownership of shares or stocks from the holding company to the subsidiary company shall be void.
2. If a subsidiary company owns shares or stocks in the holding company before it becomes a subsidiary, the following shall be observed: a- The subsidiary company shall not have the right to make decisions or vote on them in the holding company. b- The subsidiary company shall dispose of these shares or stocks within twelve (12) months from the date it becomes a subsidiary of the holding company. The Competent Authority may extend this period.
3. The provisions of paragraphs (1) and (2) of this Article shall not apply to persons licensed under the provisions of the Capital Market Law and its implementing regulations, if their ownership of shares or stocks in the holding company is within the normal course of their business. The Competent Authority may specify other cases to which the provision of this Article does not apply.

Article Two Hundred Nineteen: Implementation of the Provisions of this Chapter:

The Regulations shall specify the necessary provisions for the implementation of what is stated in this Chapter.

Chapter Ten: Transformation, Merger, and Division of Companies

Chapter One: Transformation of Companies

Article Two Hundred Twenty: Transformation of a Company into Another Form:

1. A company may be transformed into another form of company by a resolution issued in accordance with the procedures prescribed for amending its articles of incorporation or bylaws, and after fulfilling the incorporation, registration, and publication requirements prescribed for the form into which the company is transformed.
2. The transformation of a company into a simplified joint stock company requires the unanimous consent of the partners or shareholders.
3. Owners of sole proprietorships may transfer their assets to any form of company established in accordance with the provisions of the Law. Such establishment shall not result in releasing the owners of the sole proprietorships from their liability for the debts and obligations of the sole proprietorships prior to the establishment of the company, unless the creditors expressly accept this.
4. Without prejudice to the possibility of transformation based on paragraph (1) of this Article and the incorporation, registration, and publication requirements prescribed for a joint stock company, a general partnership, a limited partnership, and a limited liability company may be transformed into a joint stock company if requested by partners owning more than half of the capital, unless the articles of incorporation provide for a lower percentage, provided that all the company's shares are owned by persons who are related by kinship or marriage, or among which some are owned by an endowment (waqf) or arise from a bequest from one of the partners. Any condition that contravenes what is stated in this paragraph shall be void.

Article Two Hundred Twenty-One: Transformation of a Non-Profit Company:

1. Subject to the provision of paragraph (1) of Article (220) of the Law, a private non-profit company, but not a public one, may be transformed into any form of company, unless the company's articles of incorporation or bylaws provide otherwise, provided that any amount exceeding the capital at incorporation from profits, reserves, donations, or otherwise is spent on the non-profit purposes and areas stipulated in its articles of incorporation or bylaws, and that any exemptions it has obtained are returned. The Regulations shall specify the provisions for this.
2. Any company may be transformed into a public or private non-profit company with the unanimous consent of the partners or shareholders.

Article Two Hundred Twenty-Two: Objection to the Transformation Resolution:

Without prejudice to the provisions for the waiver of shares or stocks prescribed according to the form of the company, partners or shareholders who object to the transformation resolution may exit the company based on a written request submitted to it within fifteen (15) days from the date of the resolution. In this case, the value of their shares or stocks shall be paid according to the agreed-upon value or according to a report prepared by one or more accredited valuers showing an estimate of the fair value of their shares or stocks on the date of transformation, unless the company's articles of incorporation or bylaws provide otherwise. In case of disagreement, the objector may resort to the competent judicial authority.

Article Two Hundred Twenty-Three: Personality of the Company after Transformation:

The transformation of a company shall not result in the creation of a new legal person, and the company shall retain its rights and remain liable for its obligations prior to the transformation.

Article Two Hundred Twenty-Four: Release of General Partners from Liability:

The transformation of a general partnership or a limited partnership into any other form of company shall not result in releasing the general partners from their liability for the company's debts prior to the transformation, unless the creditors expressly accept this or if none of them objects to the partners' resolution to transform within thirty (30) days from the date of being notified thereof by a registered letter or by modern technology means.

Chapter Two: Merger of Companies

Article Two Hundred Twenty-Five: Merger Proposal:

1. A merger may be effected by merging one or more companies into another existing company, or by combining two or more companies to establish a new company.
2. A merger proposal must be prepared for approval by each company party to it in accordance with the procedures prescribed for amending its articles of incorporation or bylaws. The merger proposal shall specify its terms and state the nature and value of the consideration, including the number of shares or stocks allocated to the merged company in the capital of the merging company or the company resulting from the merger, and a statement on the ability of each company party to the merger to pay its debts.
3. Subject to the provisions of the relevant regulations, a company, even if in liquidation under the provisions of the Law, may merge with another company of the same or a different form.

4. A merger shall not be valid until after the assets of each company party to it have been valued.
5. The consideration in a merger shall be shares or stocks in the merging company or the company resulting from the merger.
6. The Competent Authority shall specify the controls and procedures for implementing the provisions of this Article, including the cash consideration for the purchase of fractional shares or stocks, or for compensating a partner or shareholder who objects to the merger resolution, and the controls for voting by a partner or shareholder in the event of a conflict of interest other than their interest as a partner or shareholder in the company.

Article Two Hundred Twenty-Six: Merger of a Company into its Owning Company:

The Regulations shall specify the controls for regulating the merger of one or more companies into a company that wholly owns them, or the merger of two or more companies wholly owned by the same partners or shareholders, and may exempt such cases from some of the provisions contained in this Chapter.

Article Two Hundred Twenty-Seven: Objection to the Merger Resolution:

1. Each company party to the merger shall announce it at least thirty (30) days before the date set for making the decision on the merger proposal and voting on it.
2. Any creditor of the merged company may object to the merger by a registered letter to the company or by any other means specified in the announcement referred to in paragraph (1) of this Article, within fifteen (15) days from the date of the announcement. The company must pay the debt of the objecting creditor if it is due or provide a sufficient guarantee for its payment if it is deferred.
3. A creditor who has notified the company of their objection to the merger in accordance with paragraph (2) of this Article and whose debt was not paid by the company if it was due, or for whom a sufficient guarantee was not provided for its payment if it was deferred, may apply to the competent judicial authority at least ten (10) days before the date set for making the merger decision. In this case, the competent judicial authority may order the payment of the debt if it is due or the provision of a guarantee for its payment if it is deferred. If it finds that the merger will result in serious harm to the objecting creditor without the merged company or the merging company being able to pay the debt or provide the guarantee, it may order the suspension or postponement of the merger, provided that its decision is issued before the merger resolution becomes effective. If the competent judicial authority does not decide on the creditor's objection before the merger resolution becomes effective and it is subsequently proven to it that the objecting creditor's claim is valid, it may issue a decision to compensate them for the damages they incur as a result of this merger.

Article Two Hundred Twenty-Eight: Effectiveness of the Merger Resolution:

The merger resolution shall take effect and be deemed effective from the date of registering the data of the merged company in the register of the merging company with the Commercial Registry. Otherwise, the merger resolution shall take effect and be deemed effective from the date of registering the company resulting from it with the Commercial Registry.

Article Two Hundred Twenty-Nine: Rights, Obligations, Assets, and Contracts of the Merged Company:

Upon the effectiveness of the merger resolution, all rights, obligations, assets, and contracts of the merged company or companies shall be transferred to the merging company or the company resulting from the merger, and the merging company or the company resulting from the merger shall be deemed the successor to the merged company or companies.

Article Two Hundred Thirty: Obligation to Buy and Sell Shares:

1. Without prejudice to the provisions of the Capital Market Law, when a person, or more than one person acting in concert, increases their ownership to a level where they, individually or collectively with the persons acting in concert with them, reach a percentage of ninety percent (90%) or more of the shares of a joint stock company that have voting rights, whether directly or indirectly, or when they contract to purchase this percentage unconditionally, they must disclose this to the company's shareholders. Any of the company's shareholders may, within ninety (90) days from the date of disclosure, submit a request to the owner of the percentage or the buyer to make an offer to purchase their shares, and the owner of the percentage or the buyer must submit an offer to anyone who submits such a request to purchase their shares.
2. Without prejudice to the provisions of the Capital Market Law, a shareholder whose ownership has reached ninety percent (90%) of the shares of a joint stock company that have voting rights, whether directly or indirectly, and a person who has contracted to purchase this percentage unconditionally, may apply to the Competent Authority within a period not exceeding sixty (60) days from the date their ownership reached that amount or from the date of unconditionally contracting to purchase this percentage, to obtain approval to make a mandatory offer to compel the other shareholders to sell their shares to them.
3. Any shareholder in a joint stock company may, within sixty (60) days from the date of submitting an offer to purchase their shares in the company in accordance with paragraph (1) of this Article or from the date of submitting the mandatory offer to purchase their shares in the company in accordance with paragraph (2) of this Article, resort to the competent judicial authority to object to the purchase price. In the case of a mandatory offer in accordance with paragraph (2) of this Article, the effectiveness of the mandatory offer may not be suspended except by a decision from the Competent Authority. The settlement of the mandatory offer shall be within a period of seven (7) days from the date of the expiration of the period granted to shareholders to object, unless the competent judicial authority orders otherwise.

4. The Regulations shall specify the necessary controls for implementing the provisions of this Article, including the controls related to disclosure, the purchase price, and the periods related to the cases mentioned in paragraphs (1) and (2) of this Article.

Chapter Three: Division of Companies

Article Two Hundred Thirty-One: Form of the Company Resulting from the Division:

A company may be divided into two or more companies, even if it is in liquidation. The company or companies resulting from the division may take any of the company forms set forth in Article (4) of the Law.

Article Two Hundred Thirty-Two: Division Resolution:

A resolution to divide the company shall be issued in accordance with the procedures prescribed for amending its articles of incorporation or bylaws. The division resolution must include a statement of the number of partners or shareholders, the share of each of them in the company or companies resulting from the division and the company being divided, the rights and obligations of these companies, and how the assets, rights, and obligations are to be distributed among them.

Article Two Hundred Thirty-Three: Debts and Obligations of the Company Being Divided:

The company resulting from the division shall be the successor to the company being divided to the extent of what has devolved to it in accordance with the division resolution. However, the creditors of the company being divided may demand that the two or more companies resulting from the division pay the debts and obligations incurred by the company being divided, and the two or more companies shall be jointly and severally liable for the payment of those debts and obligations; except in cases where it is agreed with the creditors that their rights of claim shall be transferred to the company resulting from the division to which the debts and obligations have devolved.

Article Two Hundred Thirty-Four: Division Controls:

The Regulations shall specify the controls related to the division of a company, including the procedures, conditions, and requirements that must be met for the division, according to the form of the company.

Chapter Eleven: Foreign Companies

Article Two Hundred Thirty-Five: Foreign Companies to which the Provisions of the Law Apply:

Without prejudice to special agreements concluded between the Kingdom and some countries or foreign companies, and the regulations in force in the Kingdom, and except for the provisions related to the incorporation of companies, the provisions of the Law shall apply to foreign companies that carry on their activities and business within the Kingdom.

Article Two Hundred Thirty-Six: Carrying on Activity within the Kingdom:

A foreign company shall carry on its activity and business within the Kingdom through a branch, a representative office, or any other form, in accordance with the Foreign Investment Law and other relevant statutory provisions.

Article Two Hundred Thirty-Seven: Data to be Included in the Company's Documents:

Every branch or representative office of a foreign company must state on all its papers, documents, and publications its address in the Kingdom, in addition to the full name of the company, its address, and its head office.

Article Two Hundred Thirty-Eight: Financials of the Company's Branch:

1. The application for registration of a foreign company's branch must include the start and end date of the branch's fiscal year.
2. Except for representative offices, a foreign company's branch must prepare financial statements for its activity within the Kingdom in accordance with the accounting standards approved in the Kingdom, and deposit these documents and the auditor's report thereon, within six (6) months from the end of the fiscal year for that branch's activity, as specified by the Regulations.
3. The appointment of the auditor may be by a decision of the director of the foreign company's branch based on an authorization from the foreign company.

Article Two Hundred Thirty-Nine: Domicile of the Foreign Company:

The branch or representative office of a foreign company within the Kingdom is considered its domicile with respect to its activity and business within the Kingdom, and all regulations in force in the Kingdom shall apply to it.

Article Two Hundred Forty: Liability for Unlawful Acts:

If a foreign company carries on its activity and business before completing the licensing procedures, if any, and its registration with the Commercial Registry, or carries out acts beyond

what it is licensed for, the company and the persons who carried on that activity and performed those acts shall be jointly and severally liable for them.

Article Two Hundred Forty-One: Temporary Registration:

If the presence of a foreign company in the Kingdom is for the purpose of executing specific works and for a limited period, it shall be temporarily registered with the Commercial Registry, and its registration shall end upon the completion and execution of those works. The registration shall be canceled after the settlement of its rights and obligations, in accordance with the provisions of the Law and other applicable regulations. However, it may continue after fulfilling the necessary statutory requirements. The Ministry, in coordination with the Ministry of Investment, may establish the necessary controls for implementing the provisions of this Article.

Chapter Twelve: Dissolution and Liquidation of the Company

Article Two Hundred Forty-Two: Examination of the Company's Financial Position:

1. The directors or board members of the company shall, before the partners, general assembly, or shareholders make a decision to dissolve the company, prepare a statement indicating that they have examined the company's situation. This statement shall include confirmation that the company's assets are sufficient to pay its debts by the end of the proposed liquidation period and that the company is not distressed in accordance with the Bankruptcy Law. This statement shall be presented within thirty (30) days from the date of its preparation to the partners, general assembly, or shareholders to make a decision to dissolve the company.
2. If it appears from the statement referred to in paragraph (1) of this Article that the company's assets are not sufficient to pay its debts or that the company is distressed in accordance with the Bankruptcy Law, the partners, general assembly, or shareholders may not make a decision to dissolve the company; otherwise, they shall be jointly and severally liable for any remaining debt in its liability.

Article Two Hundred Forty-Three: General Reasons for Dissolution of the Company:

Subject to the reasons for dissolution specific to each form of company, a company shall be dissolved for one of the following reasons: a- The expiration of the period specified for it, if it is for a limited period, unless extended in accordance with the provisions of the Law. b- The agreement of the partners or shareholders to dissolve it. c- The issuance of a final judicial ruling dissolving or nullifying it.

Article Two Hundred Forty-Four: Liquidation of the Company:

1. If a company is dissolved, it shall enter the liquidation phase in accordance with the provisions of the Law. The partners, general assembly, or shareholders must take liquidation measures, and the company shall retain its legal personality to the extent necessary for liquidation.
2. If the company is dissolved for any of the reasons for dissolution stipulated in the Law, the partners, shareholders, company directors, or board of directors, as the case may be, must prepare the statement referred to in paragraph (1) of Article (242) of the Law, unless it was prepared before its dissolution and the period since its preparation has not exceeded thirty (30) days.
3. If the company is dissolved and its assets are not sufficient to pay its debts or it is distressed in accordance with the Bankruptcy Law, it must apply to the competent judicial authority to initiate any of the liquidation procedures in accordance with the Bankruptcy Law.
4. If the company is liquidated in violation of the provision of this Article, the partners, shareholders, company director, or board members, as the case may be, shall be jointly and severally liable for any remaining debt in its liability.
5. A public non-profit company may not be liquidated until after obtaining the Ministry's approval.

Article Two Hundred Forty-Five: How to Conduct Liquidation:

Unless the company's articles of incorporation or bylaws, or the partners, general assembly, or shareholders, as the case may be, agree on how to liquidate the company upon its dissolution, the liquidation shall be in accordance with the provisions stipulated in the Law.

Article Two Hundred Forty-Six: Management of the Company during the Liquidation Period:

1. The authority of the company's director or board of directors shall end upon its dissolution. However, they shall remain in charge of managing the company and shall be considered, with respect to third parties, as liquidators until a liquidator is appointed.
2. The company's assemblies shall remain in existence during the liquidation period, and their role shall be limited to exercising their powers that do not conflict with the powers of the liquidator.
3. A partner or shareholder shall, during the liquidation period, retain the right to access the company's documents as granted to them in the Law or the company's articles of incorporation or bylaws.

Article Two Hundred Forty-Seven: Number of Liquidators and Liquidation Period:

1. The liquidation shall be carried out by one or more liquidators from among the partners, shareholders, or others.

2. The liquidation period under the Law shall not exceed three (3) years, and it may not be extended except by an order from the competent judicial authority.

Article Two Hundred Forty-Eight: Decision to Appoint the Liquidator:

1. The liquidator shall be appointed by a resolution of the partners, general assembly, or shareholders in accordance with the procedures prescribed for amending the company's articles of incorporation or bylaws, according to the form of the company, within a period not exceeding sixty (60) days from the date of the company's dissolution. If it is not possible to appoint the liquidator within that period, they shall be appointed by a decision of the competent judicial authority based on a request submitted by any of the partners, shareholders, or an interested party.
2. Notwithstanding the provision of paragraph (1) of this Article, if the company's dissolution is the result of its dissolution or nullification by a final judicial ruling, the liquidator shall be appointed by a decision of the judicial authority that issued that ruling.
3. Before issuing a decision to appoint the liquidator in accordance with the provisions of paragraphs (1) and (2) of this Article, the competent judicial authority shall request from the partners, shareholders, company directors, or board of directors, as the case may be, to submit the statement referred to in paragraph (1) of Article (242) of the Law or any necessary accounting records and data, or financial statements, if any, proving that the company's assets are sufficient to pay its debts by the end of the liquidation period as stipulated in this Chapter and that the company is not distressed in accordance with the Bankruptcy Law, within a period not exceeding thirty (30) days from the date of the request. If the competent judicial authority finds that the company's assets are not sufficient to pay its debts, it must take the necessary steps to initiate any of the liquidation procedures in accordance with the Bankruptcy Law.
4. In all cases, the decision to appoint the liquidator must include the specification of their powers, fees, any restrictions imposed on them, and the period required for the liquidation.

Article Two Hundred Forty-Nine: Registration and Publication of the Decision to Appoint the Liquidator:

The liquidator must register and publish the decision of their appointment with the Commercial Registry. Their appointment or the liquidation procedures shall not be invoked against third parties except from the date of registration and publication.

Article Two Hundred Fifty: Removal of the Liquidator:

1. The liquidator shall be removed in the same manner in which they were appointed. In all cases, the competent judicial authority may, at the request of any of the partners, shareholders, or creditors of the company for acceptable reasons, order their removal.
2. The decision or ruling to remove the liquidator must include the appointment of their replacement and the specification of their powers and fees.

Article Two Hundred Fifty-One: Multiple Liquidators:

If there are multiple liquidators, they must act jointly, and their actions shall not be valid unless by their unanimous consent, unless the decision of their appointment or the authority that appointed them provides otherwise.

Article Two Hundred Fifty-Two: Powers of the Liquidator:

1. Subject to the restrictions contained in the decision appointing the liquidator, the liquidator shall represent the company before the judiciary, arbitration panels, and third parties, and shall perform all acts required by the liquidation, in particular, converting the company's assets into cash, including selling movables or real estate by auction or by any other method that ensures obtaining the best possible price.
2. The liquidator may sell the company's assets as a whole, or contribute them as a share in another company, if authorized to do so by the authority that appointed them.
3. The liquidator may not commence new business unless it is necessary to complete previous business.
4. The company shall be bound by the acts of the liquidator that fall within the limits of their powers.
5. The powers of the liquidator shall end upon the completion of the liquidation works, or upon the expiration of the liquidation period, whichever is earlier, unless extended in accordance with the provisions of the Law.

Article Two Hundred Fifty-Three: Inventory of Assets and Liabilities:

1. The company's director or board members shall, upon the appointment of the liquidator, provide them with the company's records, documents, and any clarifications and data they request.
2. The liquidator shall, within ninety (90) days of commencing their work, prepare an inventory of all the company's assets, its rights, and its obligations, and shall request the company's auditor, if any, to issue a report on that inventory. The authority that appointed the liquidator may extend this period when necessary.
3. At the end of each fiscal year, the liquidator shall prepare financial statements and a report on the liquidation works, which shall include a statement of their observations and reservations on the liquidation works, the reasons that led to its obstruction or delay, if any, and their proposals for extending the liquidation period. They shall provide the Commercial Registry with a copy of these documents and present them to the partners, general assembly, or shareholders for approval in accordance with the provisions of the company's articles of incorporation or bylaws.

Article Two Hundred Fifty-Four: Insufficiency of Assets:

If it becomes apparent to the liquidator at any time during the liquidation that the company's assets are not sufficient to pay its debts, they must immediately inform the partners, shareholders, and creditors of the company, and apply to the competent judicial authority to

request the initiation of any of the liquidation procedures in accordance with the Bankruptcy Law.

Article Two Hundred Fifty-Five: Payment of Debts:

1. The liquidator shall pay the company's debts if they are due, according to priority, and set aside the amounts necessary to pay them if they are deferred or disputed.
2. Debts arising from the liquidation shall have priority over other debts.
3. After paying the debts, the liquidator shall return to the partners or shareholders the value of their shares or stocks in the capital, and shall distribute the surplus to them thereafter in accordance with the provisions of the company's articles of incorporation or bylaws. If the articles of incorporation or bylaws do not contain provisions in this regard, the surplus shall be distributed to the partners or shareholders in proportion to their shares or stocks in the capital.
4. If the net assets of the company are not sufficient to cover the value of the partners' shares or the shareholders' stocks, the loss shall be distributed among them according to the proportion prescribed for the distribution of losses.

Article Two Hundred Fifty-Six: Disposition of the Assets of a Non-Profit Company:

1. The net assets of a non-profit company upon its liquidation shall devolve to the non-profit persons or entities specified in the non-profit company's articles of incorporation or bylaws.
2. If the net assets of the non-profit company resulted from a donation, bequest, or endowment, they shall devolve to the non-profit persons or entities specified by the donor, testator, or endower.
3. If the company's articles of incorporation or bylaws do not specify the non-profit persons or entities to which its assets shall devolve, and if the donor, testator, or endower has not specified them, the assets shall devolve—after obtaining the Ministry's approval—to non-profit persons or entities that aim to achieve purposes and areas similar or comparable to the purposes and areas specified for those assets.
4. The non-profit persons or entities to which the assets have devolved shall be obligated to use them for the purposes and areas specified for them.

Article Two Hundred Fifty-Seven: End of Liquidation:

1. Upon the completion of the liquidation works, the liquidator shall submit a detailed financial report on the works they have performed. The liquidation shall end upon the approval of this report by the authority that appointed the liquidator.
2. The liquidator must register and publish the end of the liquidation with the Commercial Registry. The end of the liquidation shall not be effective against third parties except from the date of canceling the company's registration from the Commercial Registry.

Article Two Hundred Fifty-Eight: Liability of the Liquidator:

1. The liquidator shall be liable for compensating for the damage sustained by the company, partners, shareholders, or third parties as a result of exceeding the limits of their powers or as a result of the errors they commit in the performance of their work.
2. The liability shall be either personal, attaching to a specific liquidator, or joint among all liquidators if there are multiple liquidators and the decision was issued by their unanimous consent, unless each of them has the right to act individually in accordance with the provision of Article (251) of the Law.

Article Two Hundred Fifty-Nine: Non-Admissibility of Liability Claim:

Except in cases of forgery and fraud, a claim against the liquidator shall not be heard after five (5) years from the date of canceling the company's registration with the Commercial Registry.

Chapter Thirteen: Penalties

Article Two Hundred Sixty: Penalties for Serious Crimes:

Without prejudice to any penalty stipulated in another law, a penalty of imprisonment for a term not exceeding three (3) years and a fine not exceeding five million (5,000,000) riyals, or either of these two penalties, shall be imposed on: a- Every director, official, board member, auditor, or liquidator who intentionally records false or misleading data or information in the company's financial statements or in the reports they prepare, or in the data related to the reduction of the company's capital or the sufficiency of its assets to pay its debts upon liquidation, and other reports and data presented to the partners, general assembly, or shareholders in accordance with the provisions of the Law, or who intentionally omits to mention a material fact in any of the foregoing with the intent to show the company's financial position in a manner contrary to reality. b- Every director, official, or board member who uses the company's funds, the powers they enjoy, or the votes they hold in that capacity, in a manner they know is against the interests of the company, to achieve personal purposes, to favor a company or a person, or to benefit from a project or a transaction in which they have a direct or indirect interest. c- Every liquidator who uses the company's funds, assets, or rights with third parties in a manner they know is against the interests of the company or intentionally causes harm to the partners, shareholders, or creditors, to achieve personal purposes, to favor a company or a person, to benefit from a project or a transaction in which they have a direct or indirect interest, or to favor one creditor over another in receiving their right without a legitimate reason.

Article Two Hundred Sixty-One: Penalties for Less Serious Crimes:

Without prejudice to any penalty stipulated in another law, a penalty of imprisonment for a term not exceeding one (1) year and a fine not exceeding one million (1,000,000) riyals, or either of these two penalties, shall be imposed on: a- Every auditor who fails to report to the company, through the bodies or persons responsible for its management, the violations they discover

during their work which appear to them to be criminal offenses. b- Anyone who obtains benefits, a guarantee, or a promise thereof, in exchange for voting in a certain direction or not participating in the vote, in order to harm the interests of the company, as well as anyone who grants, guarantees, or promises such benefits. c- Anyone who announces, publishes, or declares by any means, with the intent to mislead, that a company has been registered when its registration procedures with the Commercial Registry have not been completed. d- Every public official who discloses to non-competent authorities the secrets of the company which they came to know by virtue of their position. e- Anyone who, for the purpose of collecting the values of shares and soliciting subscriptions, publishes the names of persons contrary to reality, considering them to be associated with the company, or that they will be associated with it in any way. f- Anyone who decides to distribute, distributes, or receives profits or returns, in bad faith, in a manner that violates the provisions of the Law, the company's articles of incorporation, or its bylaws, and every auditor who knew of such violation and did not report it in their report. g- Anyone who exaggerates or provides false declarations or data, whether from partners, shareholders, or others, regarding the valuation of in-kind contributions or the distribution of shares among partners or stocks among shareholders, or the full payment of their value, with knowledge thereof, whether at the time of the company's incorporation, capital increase, or when amending the distribution of shares among partners or stocks among shareholders. h- Every director, official, board member, or auditor who fails to call the general assembly of partners or shareholders, or fails to take the necessary action therefor, as the case may be, upon learning that losses have reached the limits estimated in accordance with the provisions of Articles (132) and (182) of the Law. i- Every director, official, board member, auditor, or liquidator who exploits or discloses a secret of the company with the intent to harm it. j- Anyone who intentionally obstructs the work of those who have the right under the Law to access the company's papers, documents, accounts, records, and documents, or causes such obstruction, or refuses to enable them to perform their work. k- Any person appointed to inspect the company who intentionally states false facts in the reports they prepare, or intentionally omits to mention material facts that would affect the outcome of the inspection.

Article Two Hundred Sixty-Two: Penalties for Violations:

Without prejudice to any penalty stipulated in another law, a fine not exceeding five hundred thousand (500,000) riyals shall be imposed on: a- Anyone who causes the disruption of the call for the general assembly of partners or shareholders or its convening, and anyone who prevents a partner or shareholder from participating in one of the shareholders' or partners' assemblies, or prevents them from enjoying the voting rights associated with their shares or stocks in the company in violation of the provisions of the Law. b- Anyone who fails to perform their duty to call the general assembly of partners or shareholders to convene within the period prescribed for its convening in accordance with the provisions of the Law. c- Anyone who accepts their appointment as a member of the board of directors of a joint stock company or remains a member thereof in violation of the provisions prescribed in the Law, and every board member of a company where such violations occur who was aware of them and did not object to them in accordance with the provisions of the Law. d- Every member of the board of directors of a joint stock company who obtains a guarantee or a loan from the company in violation of the provisions of the Law. And every board member of a company where this violation occurs who

was aware of it and did not object to it in accordance with the provisions of the Law. e- Anyone who fails to perform their duty to maintain the company's accounting records and supporting documents to clarify its business and contracts, or to prepare the financial statements in accordance with the accounting standards approved in the Kingdom or to deposit them in accordance with the provisions of the Law. f- Anyone who neglects their duty to provide the Competent Authority with the documents stipulated in the Law. g- Anyone who neglects their duty to make the necessary documents available to the partner or shareholder in accordance with the provisions of the Law. h- Anyone who neglects their duty to prepare and record the minutes of meetings in accordance with the provisions of the Law. i- Anyone who neglects their duty to include any of the data mentioned in Article (12) of the Law. j- Anyone who accepts to perform the duties of an auditor or continues to practice them while knowing of the existence of reasons that prevent them from performing those duties in accordance with the provisions of the Law. k- Anyone who neglects their duty regarding the registration of the company with the Commercial Registry in accordance with the provisions of the Law, and anyone who fails to register an amendment to the company's articles of incorporation or bylaws with the Commercial Registry in accordance with the provisions of the Law. l- Anyone who intentionally states in the company's articles of incorporation, its bylaws, or other company documents, or its incorporation application, or the documents and records accompanying this application, data that is untrue or contrary to the provisions of the Law, and anyone who signs or registers such documents with the Commercial Registry with knowledge thereof. m- Every director or board member in a professional company who violates the controls regulating the activity of professional companies or the conditions, controls, and general rules referred to in Article (200) of the Law. n- Anyone who violates the provision of paragraph (2) of Article (202) of the Law, and every director or board member of a professional company who violates the provision of Article (204) of the Law. o- Every director, board member, or sole owner of a professional company in the event that it practices a liberal profession without having among its partners or shareholders someone licensed to practice it. p- Every liquidator who fails to perform their duty to register their appointment decision or to register and publish the end of the liquidation with the Commercial Registry in accordance with the provisions of the Law. q- Anyone who neglects to take the necessary corrective measures to address the committed violation after being notified of it in accordance with the provisions of the Law. r- Every auditor who fails to perform their duties stipulated in the Law. s- Every company or official therein who fails to observe the application of the provisions of the Law and the Regulations or fails to comply with the controls or decisions issued by the Competent Authority, without providing a reasonable reason for doing so.

Article Two Hundred Sixty-Three: Determination of Penalty:

1. In determining the penalty, the gravity of the crime or violation, its circumstances, its context, and its effects shall be taken into account.
2. The penalties prescribed for the crimes stipulated in Articles (260) and (261) of the Law shall be doubled in the case of recidivism. A person is considered a recidivist under the provisions of the Law if they commit the same crime for which a final conviction judgment or decision was issued within three (3) years from the date of issuance of that judgment or decision.

Article Two Hundred Sixty-Four: Alternative Sanctions:

1. The competent judicial authority may, in addition to or instead of the penalties prescribed in Articles (260) and (261) of the Law, take any of the following measures: a- Warning the person concerned. b- Obliging the person concerned to take the necessary steps to avoid the occurrence of the crime, or to take the necessary corrective steps to address its effects. c- Obliging the person concerned to stop or refrain from carrying out the act that is the subject of the lawsuit. d- Banning from membership on the board of directors of a joint stock company listed on the financial market.
2. The Competent Authority has the right, in addition to or instead of the penalties prescribed in Article (262) of the Law, to take any of the measures mentioned in paragraphs (1/a) and (1/b) of this Article with respect to violations.

Article Two Hundred Sixty-Five: Jurisdiction for Investigation and Prosecution:

The Public Prosecution shall have jurisdiction to investigate and prosecute the crimes stipulated in Articles (260) and (261) of the Law.

Article Two Hundred Sixty-Six: Competent Judicial Authority:

1. The competent court shall consider and decide on all civil and criminal lawsuits and disputes arising from the application of the provisions of the Law and the Regulations, and shall impose the penalties prescribed for violating their provisions, except with respect to joint stock companies listed on the financial market.
2. The Committee for the Resolution of Securities Disputes shall consider and decide on appeals against the Authority's decisions and all civil and criminal lawsuits and disputes arising from the application of the provisions of the Law and the Regulations, and shall impose the penalties prescribed for violating their provisions, with respect to joint stock companies listed on the financial market. The Committee shall apply the rules and procedures that it must follow in accordance with the Capital Market Law with respect to lawsuits within its jurisdiction under the provisions of the Law.

Article Two Hundred Sixty-Seven: Committee for Considering Violations:

1. A committee shall be formed in the Ministry by a decision of the Minister, consisting of at least three members, chaired by a person with legal qualifications. It shall be competent to consider the violations stipulated in Article (262) of the Law and to impose the penalties prescribed for them, except for violations related to joint stock companies listed on the financial market. The Minister may specify the violations for which direct penalties may be imposed without being presented to the committee. A person against whom a penalty decision is issued has the right to appeal to the competent court within thirty (30) days from the date of notification thereof, in accordance with the means of notification specified by the Regulations. The rules of procedure of the committee and its secretariat

shall be issued by a decision of the Minister. The remuneration of its chairman and members shall be determined.

2. The Board of the Authority shall be competent to impose the penalties prescribed for the violations stipulated in Article (262) of the Law related to joint stock companies listed on the financial market. A person against whom a decision is issued by the Board of the Authority has the right to appeal to the Committee for the Resolution of Securities Disputes in accordance with the provisions of the Capital Market Law.

Article Two Hundred Sixty-Eight: Criminal Investigation Status:

1. Employees assigned to investigate the acts stipulated in Articles (260), (261), and (262) of the Law by a decision of the Competent Authority shall have the status of criminal investigation officers in proving the crimes and violations stipulated in the Law. For this purpose, they may seize records and documents they deem related to the crime or violation.
2. The Minister and the Board of the Authority, as the case may be, may issue rules and controls regulating the work and tasks of the employees referred to in paragraph (1) of this Article and establish rules for granting financial rewards to those working on uncovering the crimes and violations stipulated in the Law.

Article Two Hundred Sixty-Nine: Claim for Compensation:

The application of the penalties contained in this Chapter shall not prejudice the right of any person to claim compensation from anyone who caused them harm as a result of committing any of the crimes and violations stipulated in the Law.

Article Two Hundred Seventy: Supervision of Companies:

The Competent Authority has the right to supervise companies with respect to the application of the provisions stipulated in the Law and in the company's articles of incorporation or bylaws, including the authority to inspect the company, examine its accounts, and request any data, records, documents, and minutes from the company's directors, board of directors, or executive management, through a representative or more of its employees or experts it chooses for this purpose. It may also, at its discretion, send a representative (or more) as an observer to attend the general assemblies of companies to ensure the application of the provisions of the Law.

Article Two Hundred Seventy-One: Access to the Company's Records and Documents:

All officials in the company must allow the representatives of the Ministry, and the representatives of the Authority if it is a joint stock company listed on the financial market or seeks to be, each according to their jurisdiction, with respect to the works stipulated in Article (270) of the Law, to access all the company's records and documents they request, and to provide them with all information and clarifications related thereto.

Chapter Fourteen: Concluding Provisions

Article Two Hundred Seventy-Two: Request for Exemption from the Provisions of the Law:

If the application for the incorporation of a company that the State or other public legal persons permitted to do so establishes or participates in establishing requires an exemption from some of the provisions of the Law, the application for approval of the incorporation and the exemption, including its reasons, shall be submitted to the Council of Ministers to consider approving them.

Article Two Hundred Seventy-Three: Shares and Stocks Owned by an Endowment (Waqf):

The provisions of the Law shall apply to shares or stocks owned by an endowment (waqf).

Article Two Hundred Seventy-Four: Powers of the Competent Authority:

1. The Authority shall be the competent authority for supervising joint stock companies listed on the financial market, monitoring them, and issuing the rules regulating their work, including regulating merger operations if one of the parties is a joint stock company listed on the financial market.
2. The Competent Authority shall establish a corporate governance regulation for joint stock companies that includes rules for leading and directing the company. It shall include how to organize the various relationships between the board of directors, the executive management, the shareholders, and the stakeholders; activating the role of shareholders in the company and facilitating the exercise of their rights; activating the role of the board of directors and its sub-committees and the company's committees and developing their efficiency; and setting controls for the formation of its boards of directors and nomination for its membership, including establishing special rules and procedures to facilitate the decision-making process and impart transparency and credibility to it for the purpose of protecting the rights of shareholders and stakeholders and achieving competitiveness and transparency in the market and the business environment; and special rules and procedures for the governance of general assemblies and stating their powers. The Ministry may establish a regulation for the governance of other companies, which includes what is stated in this paragraph in a manner that does not conflict with their nature.
3. The Ministry may establish the necessary rules and procedures to ensure that it obtains information on the ultimate beneficial owner of companies subject to the provisions of the Law, except with respect to joint stock companies listed on the financial market.
4. The Minister and the Board of the Authority, each within their respective jurisdictions, shall issue the necessary controls and decisions to implement the provisions of the Law.

Article Two Hundred Seventy-Five: Seeking Assistance from Public or Private Entities:

The Competent Authority may seek the assistance of public or private entities to perform the tasks assigned to it in the Law, and it may delegate some of them to those entities.

Article Two Hundred Seventy-Six: Reporting Violations:

The Competent Authority may regulate the reporting of violations of the provisions of the Law and the Regulations, including determining financial rewards for whistleblowers, the controls for their disbursement and entitlement, and the procedures that contribute to their protection.

Article Two Hundred Seventy-Seven: Issuance of Regulations:

1. The Minister and the Board of the Authority shall issue the Regulations, each within their respective jurisdictions, within a maximum period of one hundred and eighty (180) days from the date of publication of the provisions of the Law. The Regulations shall specify and define the documents or data necessary for the implementation of the Law, and shall specify the rules, periods, and procedures, and the controls for the use of modern technology in notification, calling for attendance at meetings of partners or shareholders or general and special assemblies, and shall specify the controls for the participation of the partner or shareholder in deliberations and voting on resolutions, and the controls for entitlement to attend meetings of partners or shareholders or shareholders' assemblies and voting therein.
2. Any of the procedures stipulated in the Law or the Regulations may be carried out electronically, including submitting applications for the incorporation of companies or amending their articles of incorporation or bylaws, the procedures for registration and publication with the Commercial Registry, signing incorporation applications and documents and records related to companies, depositing financial statements, and other procedures.

Article Two Hundred Seventy-Eight: Social Responsibility for Companies:

The Competent Authority may propose the necessary controls to incentivize companies to undertake social responsibility and the stages of its application. They shall be issued by a decision of the Council of Ministers.

Article Two Hundred Seventy-Nine: Financial Consideration for Services:

The Regulations shall determine the financial consideration for the services provided by the Competent Authority in implementation of the provisions of the Law.

Article Two Hundred Eighty: Repeal of Conflicting Provisions:

The Law shall replace the Companies Law issued by Royal Decree No. (M/3) dated 28/1/1437 H., and the Professional Companies Law issued by Royal Decree No. (M/17) dated 26/1/1441 H., and shall repeal all provisions that conflict with it.

Article Two Hundred Eighty-One: Entry into Force of the Law:

The Law shall enter into force one hundred and eighty (180) days after the date of its publication in the Official Gazette.